

# Corporate & Other Laws

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CA Intermediate — Short Revision Notes

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# Companies Act 2013 — Preliminary & Key Definitions

## Snapshot

Definitions live in Section 2 of the Companies Act 2013. A company is an artificial legal person: separate legal entity, limited liability, perpetual succession, separate property, capacity to sue/be sued, transferable shares, common seal (now optional). It is a person but NOT a citizen (acts through agents). Core exam battleground: classification (private/public/OPC/small/listed), the holding-subsidary-associate control ladder, Government/foreign/Sec 8 companies, and lifting the corporate veil. "means" = exhaustive; "includes" = extensive; "means and includes" = exhaustive for listed items.

## Core concepts

- Two privileges are separable: separate personality (company distinct, owns its assets) vs limited liability (members' cap). An unlimited company has personality but no liability cap.
- Liability axis (MOA choice): Unlimited [2(92)] → Limited by guarantee (guarantee sum callable ONLY on winding up, not working capital) → Limited by shares (unpaid amount). Guarantee + share capital possible.
- Members vs shareholders differ: member = name in register of members [2(55)]; subscriber to MOA becomes member on incorporation before allotment.
- Veil-lifting is the counter-doctrine: narrow, issue-specific, only for fraud/sham/evasion/enemy character/statutory command — never mere creditor inconvenience.

## Key provisions / sections

| Section  | Term                    | Rule / limit                                                                                                                                                                                                |
|----------|-------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 2(20)    | Company                 | Incorporated under this/previous Act (creature of statute)                                                                                                                                                  |
| 2(68)    | Private company         | Restricts share transfer; <b>max 200 members</b> (past/present employee-members excluded; joint holders = 1); no public invitation; <b>min 2</b> ; min 2 directors                                          |
| 2(71)    | Public company          | Not private; <b>subsidiary of public = deemed public</b> despite articles; <b>min 7 members, min 3 directors</b> ; no max members                                                                           |
| 2(62), 3 | OPC                     | <b>One</b> member + nominee; only natural person, Indian citizen & resident; one OPC + nominee of one only; min 1 director; <b>is a private company</b> ; cannot do NBFI/invest in securities; minor barred |
| 2(85)    | Small company           | Private + paid-up capital ≤ ₹4 cr <b>AND</b> turnover ≤ ₹40 cr (confirm); status DYNAMIC (tested yearly, no registration); excludes public/holding/subsidiary/Sec 8/special-Act                             |
| 2(87)    | Subsidiary              | Control of Board composition <b>OR &gt;50%</b> voting power (direct + indirect); layers limited (≈2)                                                                                                        |
| 2(46)    | Holding                 | Company whose subsidiaries exist (incl. body corporate — 2017)                                                                                                                                              |
| 2(6)     | Associate               | Significant influence = <b>≥20% voting power</b> OR control of business decisions by agreement; NOT subsidiary; JV included                                                                                 |
| 2(52)    | Listed                  | ANY securities listed on recognised stock exchange (2020 carve-outs; "listed" ≠ "listed equity")                                                                                                            |
| 2(11)    | Body corporate          | Incl. foreign cos & LLPs; excl. co-op societies & specified bodies                                                                                                                                          |
| 2(45)    | Government company      | <b>≥51%</b> paid-up capital held by Central/State/both; subsidiary of Govt co is also Govt co; NOT State/agent, employees not govt servants                                                                 |
| 2(42)    | Foreign company         | Incorporated outside India + place of business/operations (incl. electronic mode) in India                                                                                                                  |
| 2(92)    | Unlimited company       | Members bear full liability                                                                                                                                                                                 |
| Sec 8    | Non-profit              | Charitable objects; profits only to objects; no dividend; may drop "Limited"; formed by CG licence (revocable); cannot be "small"; MOA alteration needs CG approval                                         |
| Sec 3    | Formation               | Public 7 / Private 2 / OPC 1 (memory: 7-2-1); max directors 15 (more by SR)                                                                                                                                 |
| Sec 9    | Effect of incorporation | Separate person, perpetual succession, common seal optional, capacity to sue                                                                                                                                |

**Control ladder:**  $\geq 20\%$  (or agreement) = Associate (influence)  $\rightarrow > 50\%$  or board control = Subsidiary/Holding. Count direct + indirect. Exactly 50%  $\neq$  subsidiary on votes.

**Veil-lifting grounds** — Judicial: fraud/sham/cloak (*Gilford v Horne*, *Jones v Lipman*); tax/obligation evasion (*Dinshaw Petit*); enemy character (*Daimler*); single economic entity where justice requires (*Renusagar*). Statutory: Sec **339** (fraudulent trading — personal unlimited liability), Sec **34/35** (prospectus misstatement), Sec **447** (fraud). *Prest v Petrodel*: pierce only for evasion, not mere concealment.

**Landmark cases:** *Salomon* (separate entity, even one-man co) • *Lee v Lee's Air Farming* (member can also be employee) • *Macaura* (100% shareholder has no insurable interest in company property) • *Bacha F. Guzdar* (dividend from tea co not agricultural income in member's hands) • *STC / Tata Engineering* (company not a citizen).

### Exam traps & must-remember

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- **No minimum paid-up capital** since 2015 amendment (old ₹1 lakh/₹5 lakh gone). Common seal optional since 2015.
- Small company: both capital AND turnover must be under limits; holding/subsidiary/Sec 8/special-Act NEVER small regardless of numbers.
- Private company member cap is **200** (not 50 — that was 1956 Act); joint holders = 1; past/present employee-members excluded.
- Subsidiary voting test is "**>50%**" not " $\geq 50\%$ "; exactly 50%  $\neq$  subsidiary on votes. Government company is  $\geq 51\%$ .
- Turns on **voting power**, not shareholding % (preference/DVR shares can vote).
- Associate =  $\geq 20\%$  significant influence (or agreement limb — even  $< 20\%$  with veto agreement counts); don't confuse with control ( $> 50\%$ ).
- Salomon holds even for one-man companies — don't lift veil just because one person controls or the company can't pay.
- Perpetual succession  $\neq$  immortality — company can be wound up / struck off.
- OPC is a private company (gets private-co treatment plus extra reliefs: may dispense with AGM, no cash-flow statement). Residency day-count amended (182 $\rightarrow$ 120, verify).
- Government company remains a separate legal person; employees not government servants.
- OPC conversion thresholds (₹50 lakh capital / ₹2 cr turnover) REMOVED in 2021.

### One-line recall

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- 7-2-1 = min members Public/Private/OPC; max members Private 200, Public unlimited; min directors 3/2/1.
- Control ladder:  $\geq 20\%$  Associate,  $> 50\%$  or board control Subsidiary/Holding; count direct + indirect.
- Government co  $\geq 51\%$ ; Foreign co = incorporated abroad + place of business in India; Sec 8 = charity, no dividend, may drop "Limited".
- Veil lifted only for fraud/sham/evasion/enemy character/statute (Sec 339, 34/35, 447) — narrow & issue-specific.
- No minimum paid-up capital (2015); common seal optional (2015).
- Amendments to verify: small-co limits ₹4cr/₹40cr, OPC thresholds removed (2021), subsidiary "voting power" wording (2017), listed carve-outs (2020).

# Incorporation of a Company

## Snapshot

Companies Act 2013 + Companies (Incorporation) Rules 2014. Incorporation = a public, verified birth granting separate personality + limited liability, in exchange for a registered constitution (MOA outward + AOA inward). Three balancing doctrines: **ultra vires** (managers can't exceed objects), **constructive notice** (outsiders deemed to know public docs — protects company), **indoor management/Turquand** (outsiders may assume internal compliance — protects outsider). Certificate of incorporation is conclusive on technical defects but NOT a fraud shield (Sec 7(5)–(7)).

## Core concepts

- Promoter [2(69)]: named in prospectus/return, OR controls affairs, OR Board accustomed to act on his instructions. Professional-capacity carve-out. Fiduciary — no secret profit, full disclosure to independent Board/members.
- Pre-incorporation contract: company **cannot ratify** (no principal existed) but **can adopt** under Specific Relief Act 1963 Secs 15(h)/19(e) if for company's purposes + adopted. Promoter personally liable (*Kelner v Baxter*: signed as agent → liable; *Newborne v Sensolid*: signed in company's own name → no contract, no one liable).
- Ultra vires the COMPANY (beyond MOA objects) = void ab initio, un-ratifiable even unanimously (*Ashbury*). Ultra vires the DIRECTORS/articles = within capacity, ratifiable. Ultra vires borrowing: loan void but lender recovers via tracing/subrogation.
- MOA supreme over AOA; both subordinate to the Act.

## Key provisions / sections

| Section      | Content                  | Key limit/rule                                                                                                                                                                                                                      |
|--------------|--------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 2(69)        | Promoter                 | 3 limbs; professional carve-out; fiduciary duty; remedies: rescission (with bars) / account of secret profit / damages — elect one                                                                                                  |
| 3            | Min members to form      | Public 7 / Private 2 / OPC 1                                                                                                                                                                                                        |
| 3A           | Members below minimum    | Below 7/2, business carried on <b>&gt;6 months</b> , member <b>aware</b> → severally liable for debts contracted after 6-month grace (2017 insertion)                                                                               |
| 4            | MOA clauses              | <b>N-S-O-L-C-S</b> : Name, Situation (State only), Object, Liability, Capital, Subscription (each subscriber takes ≥1 share)                                                                                                        |
| 4(2)-(4), 16 | Name                     | Not identical/undesirable/restricted; reserved <b>20 days</b> (new co) / <b>60 days</b> (existing co) from approval; Sec 16 rectification (CG direction; trademark owner within ~3 yrs)                                             |
| 5, Sch I     | AOA                      | Internal rulebook; model Tables F(shares)/G/H(guarantee)/I/J(unlimited); Table F default; <b>entrenchment</b> allowed                                                                                                               |
| 5(3)-(4)     | Entrenchment             | Alteration harder than SR; on formation by subscribers' agreement; after formation by <b>ALL members</b> ; noted to RoC; can only make harder never easier                                                                          |
| 7            | Incorporation filing     | SPICe+ (INC-32), e-MOA (INC-33)/e-AOA (INC-34), INC-9 declaration, professional declaration, office proof                                                                                                                           |
| 7(2), 9      | Certificate              | Body corporate from date in certificate; CIN + PAN/TAN; conclusive even as to date ( <i>Jubilee Cotton Mills</i> )                                                                                                                  |
| 7(5)-(7)     | Fraud in incorporation   | Sec 447; NCLT may regulate/wind up/strike off                                                                                                                                                                                       |
| 10           | MOA/AOA as contract      | Binds company ↔ members & member ↔ member ( <i>Rayfield v Hands</i> ); outsiders excluded ( <i>Eley</i> ); member's dual-capacity trap                                                                                              |
| 10A          | Commencement of business | Co with share capital (incorporated on/after 2 Nov 2018): INC-20A declaration (subscription paid) within <b>180 days</b> + INC-22 office verification within <b>30 days</b> ; breach = penalty + RoC strike-off (Sec 248); NOT void |
| 12           | Registered office        | Real office within 30 days (INC-22); display name/CIN; mis-description → signatory personally liable                                                                                                                                |

| Section  | Content                         | Key limit/rule                                                                                                                                                                                                  |
|----------|---------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 13       | Alter MOA                       | SR; +CG for name (fresh certificate); +Regional Director for office to another State [13(4)]; object change SR; MGT-14 within 30 days                                                                           |
| 13(8)    | Object change with public money | If raised via prospectus + unutilised amount: SR + advertisement + <b>dissenter exit offer</b> (SEBI)                                                                                                           |
| 14       | Alter AOA                       | SR + filing; can't breach MOA/Act, increase liability without consent, or contract away power ( <i>Southern Foundries</i> — alteration valid but damages if breaches contract); private→public conversion route |
| 18       | Conversion                      | Re-registration; debts survive [ <b>18(3)</b> golden thread]                                                                                                                                                    |
| 61 vs 66 | Capital alteration vs reduction | Sec 61 (increase/consolidate/sub-divide/convert-to-stock/cancel <i>unissued</i> ) = OR, no Tribunal; Sec 66 reduction of <i>issued</i> capital = SR + Tribunal                                                  |
| 149      | Directors                       | Min 3/2/1; max 15 (SR); ≥1 resident director (182 days in FY); DIN + DIR-2 consent; Sec 164 disqualifications                                                                                                   |
| 455      | Dormant company                 | Future project / hold asset / no significant accounting transaction                                                                                                                                             |
| 464      | Illegal association             | >prescribed number ( <b>50</b> , cap 100) in business for gain without registration = illegal (no legal existence, can't sue/be sued, members personally liable); HUF & regulated professionals excepted        |

**Conversions:** Private→Public (SR + raise members 7/directors 3, file RoC — no RD, easier). Public→Private (SR + **Regional Director** approval — harder, reduces oversight). OPC↔Private/Public via INC-6 (2021 removed mandatory thresholds & 2-yr wait). Sec 8: formed by CG licence, may drop "Limited", conversion needs surrender of licence + RD approval.

**Registered office move (jurisdiction, not State, is the trigger):** same local limits → Board resolution + INC-22; another city same RoC → SR + INC-22; different RoC (even same State) → SR + RD; another State → SR + RD [13(4)] + advertisement + creditor window.

**Separate personality package (Salomon):** separate entity, limited liability, perpetual succession, *Macaura* (no member insurable interest), *Lee* (shareholder can be employee), *Bacha Guzdar* (dividend not agricultural income), company not a citizen (*STC*).

### Exam traps & must-remember

- Ratify vs Adopt: company cannot ratify pre-incorporation contract but CAN adopt (Specific Relief Act).
- Ultra vires the company (void, un-ratifiable) vs ultra vires directors (ratifiable). Ultra vires borrowing: lender recovers via tracing/subrogation, not "gets nothing".
- Constructive notice protects the COMPANY; indoor management protects the OUTSIDER. Turquand never cures forgery (*Ruben*), or where outsider knew/was put on inquiry (*Anand Bihari Lal*), or acts beyond ostensible authority.
- Certificate conclusive on technical defects (even the date) but Sec 7(5)-(7) allows NCLT action for fraud.
- Sec 11 commencement certificate omitted (2015); current gate is **Sec 10A (2018)** — 180 days/INC-20A, only share-capital companies. Loan on day 40 = penalised breach, not void.
- MOA fixes only the **State**; exact address is Sec 12/INC-22. RD confirmation needed only if move crosses RoC jurisdiction, not merely State line.
- Disclosure of secret profit to a controlled Board = no disclosure (*Erlanger*).
- Alteration of articles valid despite breaching a contract → give two-part answer (valid + damages).
- Sec 8 name may drop "Limited"; MOA alteration needs CG approval.
- Sec 3A is live law (2017) — grace 6 months + member "aware"; only post-grace debts, only aware members.
- Entrenchment after formation needs ALL members (not bare SR); can only make alteration harder.
- Sec 464 ceiling is **50** (cap 100) — different from private-co 200-member cap; HUF & professionals excepted.
- Small company is a status not a formation type; toggles off on crossing thresholds.
- A lone director / company secretary cannot bind the company by office alone.

### One-line recall

- Ultra vires company = void & un-ratifiable; ultra vires directors = ratifiable; constructive notice shields company, Turquand shields outsider (not for forgery/knowledge/suspicion).
- Sec 10A: 180 days to prove money (INC-20A) + 30 days to prove address (INC-22); share-capital cos only.
- MOA alteration = SR (+CG name / +RD another State); AOA = SR; certificate conclusive but not a fraud shield (7(5)-(7)).
- Pre-incorporation contract: promoter personally liable (Kelner) / no contract (Newborne); company adopts (not ratifies) under Specific Relief Act.
- Sec 464 illegal association >50 (cap 100); Sec 3A below-minimum + >6 months + aware → personal liability.
- Conversion carries debts (18(3)); Public→Private needs RD; Private→Public does not.

## Prospectus & Allotment of Securities — CA Inter Revision Note

Companies Act 2013, Chapter III, Sections 23–42 + Companies (Prospectus & Allotment of Securities) Rules, 2014 + SEBI (ICDR) for listed issues.

### Snapshot

- Cures the information asymmetry: company knows all, investor knows nothing. Three moves — **force truth out (disclosure), punish the lie (liability), guard the money (entry controls)**.
- Golden rule (*New Brunswick v Muggeridge*): disclose with scrupulous accuracy, no concealment → parent of S.26/34/35.
- *Derry v Peek*: fraud needs knowing/reckless falsehood → so **civil S.35 (needs only untruth + reliance + loss)** is easier to win than **criminal S.34 (routes to 447 fraud)**.
- Three time-zones: BEFORE money (23,25,26,27,31,32,33) · AT inducement (34,35,36,38) · AFTER collection (39,40,42).

### Core concepts

- **Prospectus — S.2(70)**: ANY document/notice/circular/ad inviting the public to subscribe/purchase securities; includes RHP & shelf. Trigger = **invitation to the public**, not the label. Four ingredients: document · invitation to public · from public to subscribe/purchase · securities of a body corporate. Purely oral invite ≠ prospectus (but may be S.36).
- **"Public" = a number, not a vibe**: offer to **50 or more** persons (ex-QIB, ex-ESOP) in a FY is deemed offer to public. Domestic/private circle ≠ public (*Nash v Lynde*).
- **Four species**: Deemed (25 = disguise), Shelf (31 = stock 1 year), Red Herring (32 = price Hidden), Abridged (33 = tiny, on the form). Ordinary full prospectus (26) = baseline.
- **Misstatement**: untrue if misleading in form/context, OR omission calculated to mislead. *Half-truth = whole lie*.
- **Void vs irregular**: no listing permission (S.40) = allotment **VOID**; no minimum subscription (S.39) = allotment **irregular/barred**.

### Key provisions / sections

| Section | Rule                       | Limit / detail                                                                                                                                                                                                                               |
|---------|----------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 23      | Modes of issue             | Public co = 3 doors (public offer / private placement / rights-bonus); Private co = 2 (NO public door, S.2(68))                                                                                                                              |
| 2(70)   | Prospectus defined         | Any document inviting public                                                                                                                                                                                                                 |
| 25      | Deemed prospectus          | Allot to issuing house → offer for sale = deemed prospectus of company. Presumption if EITHER (i) public offer <b>within 6 months</b> of allotment, OR (ii) consideration <b>not fully received</b> at offer date. Two limbs are ALTERNATIVE |
| 26      | Contents & registration    | Signed by directors, delivered to Registrar before publication; valid <b>90 days</b> from registration; expert consent (expert unconnected + written consent not withdrawn); material contracts + reports attached                           |
| 27      | Variation in terms/objects | <b>Special resolution</b> by <b>postal ballot</b> ; dissenters get <b>exit</b> (listed/SEBI, per ICDR); notice published English + vernacular + website with justification                                                                   |
| 31      | Shelf prospectus           | Prescribed class (banks/NBFCs/FIs); valid up to <b>1 year</b> ; each tranche = information memorandum <b>Form PAS-2</b> ; withdrawal right on material change                                                                                |
| 32      | Red herring                | Price/quantity omitted; file RHP → bid → file final prospectus with price; file RHP ≥ <b>3 days</b> before offer opens                                                                                                                       |
| 33      | Abridged prospectus        | Must accompany <b>every application form</b> ; exception = underwriting invite / not offered to public                                                                                                                                       |
| 34      | Criminal liability         | Untrue/misleading statement or omission → every person who <b>authorised issue</b> → <b>S.447 fraud</b> (6 mo–10 yr; min 3 yr if public interest; fine = amount to 3×). Defence: immaterial OR reasonable belief up to                       |



| Section | Rule                     | Limit / detail                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
|---------|--------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         |                          | issue                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| 35      | Civil liability          | Subscriber <b>relied + lost</b> → directors, to-be-named directors, promoters, authorisers, <b>experts</b> (own part) <b>jointly &amp; severally compensate</b> . Defences: withdrew consent before issue / no knowledge + public notice / reasonable belief / expert reliance. Defences <b>BLOCKED</b> if statement made to defraud (35(3), unlimited liability)                                                                                                                        |
| 36      | Fraudulent inducement    | Knowing/reckless false statement/forecast/concealment to induce investment → <b>S.447</b> . Wider than 34 (any means, not just prospectus)                                                                                                                                                                                                                                                                                                                                               |
| 37      | Class action             | Group may sue company/directors/auditors/experts; route via <b>S.245 (NCLT)</b>                                                                                                                                                                                                                                                                                                                                                                                                          |
| 38      | Personation              | Fictitious name / multiple applications / inducing allotment to fake names → <b>S.447</b> ; disgorgement, seizure, gains to <b>IEPF</b> ; warning must be printed in prospectus & form                                                                                                                                                                                                                                                                                                   |
| 39      | Minimum subscription     | No allotment until minimum subscription received; SEBI floor = <b>90%</b> of issue; application money ≥ <b>5%</b> of nominal value; refund if not met (≈15 days from close); delay → <b>15% p.a.</b> interest; money held in trust                                                                                                                                                                                                                                                       |
| 40      | Listing + money handling | Apply to stock exchange before prospectus; <b>no listing = allotment VOID</b> , repay; application money in <b>separate scheduled-bank account</b> , used only for allotment/refund; commission cap <b>5% shares / 2.5% debentures</b> or articles' rate (whichever less), authorised by articles + disclosed                                                                                                                                                                            |
| 41      | GDR                      | Issue depository receipts abroad after <b>special resolution</b> ; custodian/overseas depository structure; depository = registered member                                                                                                                                                                                                                                                                                                                                               |
| 42      | Private placement        | Offer to ≤ <b>200</b> persons/FY per kind of security (ex-QIB, ex-ESOP); identified persons only via <b>PAS-4</b> (serially numbered); record in <b>PAS-5</b> ; NO public solicitation; banking channel only; separate account; <b>allot in 60 days</b> else refund in <b>15 days</b> else <b>12% p.a.</b> ; can't use money till allotment + <b>PAS-3</b> filed (15 days); breach = deemed public offer + penalty (amount raised or <b>₹2 cr</b> , whichever lower) + refund in 30 days |

**Forms:** PAS-2 (shelf tranche IM) · PAS-3 (return of allotment) · PAS-4 (offer letter) · PAS-5 (record of offers).

### Exam traps & must-remember

1. **34 vs 35 swap**. S.34 = criminal (jail via 447); S.35 = civil (compensation). Criminal needs NO investor loss; civil needs reliance + loss.
2. **Omission is not "safe"** — misleading omission = misstatement (34). Half-truth = whole lie.
3. **50 vs 200**: 50 = public-offer trip-wire; 200 = private-placement annual cap. Both exclude QIBs & ESOP.
4. **Deemed (25) ≠ Red herring (32)**: 25 = disguise via issuing house; 32 = genuine prospectus with price left out.
5. **Numbers**: prospectus validity **90 days**; shelf **1 year**; deemed window **6 months**.
6. **Private company + public offer = impossible**, not merely penalised — must convert first.
7. **App money ≥ 5%; min subscription (SEBI) = 90%** — different figures, different jobs.
8. **Expert's defence** shields a director who reasonably relied; the **expert himself** stays liable for his part. Expert must be unconnected + written consent (26).
9. **"Reasonable belief"** must hold **up to issue** — later discovery + silence loses the shield.
10. **S.39 "no allotment" is a bar** — board CANNOT allot the part-subscribed and refund the rest.
11. **S.42 money untouchable pre-allotment** even in a valid placement (till PAS-3 filed).
12. **Void vs irregular**: listing fail (40) = VOID; min-subscription fail (39) = irregular/barred.
13. **S.25's two limbs are ALTERNATIVE** (6 months OR consideration not fully received) — not both.
14. **Secondary-market buyer CANNOT sue under 35** — protects the *subscriber who relied on the prospectus*, not a later exchange purchaser.
15. **Rescission** (contract remedy, unwinds allotment) dies at winding-up / affirmation / delay / inability to restore — distinct from S.35 compensation.
16. **S.36 wider than S.34** — catches any inducement (speech, forecast), not just a prospectus.
17. **Objects can't be silently changed** — needs special resolution + dissenter exit (27); silent diversion retro-makes prospectus misleading (34/35).

### One-line recall

- Prospectus = any document inviting the **public** (2(70)); public co = 3 doors, private co = 2 (no public door).
- Liability: **34 = Criminal → 447**, **35 = Civil (compensation, subscriber relied + lost)**, **36 inducement / 38 personation → 447**.
- Numbers ladder: **50** public trip-wire · **200** private cap · **90 days** prospectus · **1 year** shelf · **6 months** deemed · **5%** app money · **90%** min subscription · **60 days** allot / **15 days** refund / **12%** (private), **15%** (public).
- Void vs irregular: **no listing (40) = VOID**; **no min subscription (39) = irregular**.
- Deemed (25) = disguise via issuing house (6 months OR unpaid consideration); RHP (32) = price hidden.
- Breach of S.42 = deemed public offer + penalty (amount raised or ₹2 cr) + refund 30 days.

# Share Capital & Debentures — CA Inter Revision Note

Companies Act 2013, Chapter IV, Sections 43–72 + Companies (Share Capital & Debentures) Rules, 2014.

## Snapshot

- Villain of the chapter = **abuse of control over capital**. Two lamps govern all sections:
  - **Capital Maintenance** (protect creditors' buffer): 52, 53, 55, 63, 66, 68/69, 71 → "keep buffer honest / don't let it leak."
  - **Fair Dealing / Equality** (protect members inter se): 47, 48, 54, 62 → "no group enriched at another's expense."
- Master sentence: every rule either **(a) makes nominal = real at issue** (52/53/54/62) or **(b) stops real falling below nominal later** (55/63/66/68/71).
- Capital ladder (all ceilings key off **paid-up**, NOT authorised): Authorised → Issued → Subscribed → Called-up → Paid-up.
- Private company may relax **member-protective** rules (43, 47, 62 periods, ESOP) but **NEVER creditor-protective** rules (53, 66, 68, 71).

## Core concepts

- **Preference share defaults if silent:** Cumulative · Non-participating · Non-convertible · Redeemable. Irredeemable preference = **prohibited** (55).
- **Buffer-replacement test:** nothing replaces it → Tribunal (66); CRR/fresh issue replaces it → no Tribunal (55, 68/69); reserve moves INTO capital → buffer grows, light conditions (63); merely reshuffled → ordinary resolution (61).
- **Diminution (61) vs Reduction (66):** cancel shares *never taken up* = diminution (ordinary resolution, no Tribunal); cancel *lost/surplus* capital or pay capital back = reduction (special res + Tribunal + creditor hearing).
- **Share vs Debenture:** share = owner/dividend/votes/paid last/no discount; debenture = creditor/interest (even in loss)/no votes (71(2))/paid before members/**may be issued at discount**.

## Key provisions / sections

| Section | Rule                      | Limit / detail                                                                                                                                                                                                                                                                                            |
|---------|---------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 43      | Kinds of capital          | Equity (voting or DVR) + Preference (priority dividend + repayment). Private co may override 43 & 47 via MOA/AOA                                                                                                                                                                                          |
| 46      | Share certificate         | <b>Prima facie</b> (not conclusive) evidence; register is primary. Duplicate register + heavy penalty for fraud                                                                                                                                                                                           |
| 47      | Voting rights             | 1 share 1 vote; preference votes only on matters affecting them, BUT full vote on <b>every</b> resolution if dividend unpaid <b>≥ 2 years</b> ; always vote on winding-up / repayment of pref capital                                                                                                     |
| 48      | Variation of class rights | Written consent of <b>≥ 3/4</b> of class OR special resolution at class meeting; if prejudices another class → that class consents too; dissenting <b>≥ 10%</b> of class (who didn't consent) → Tribunal within <b>21 days</b>                                                                            |
| 52      | Securities premium        | To Securities Premium A/c; uses ONLY: bonus, write-off preliminary expenses, write-off issue expenses/commission, premium on redemption of pref/debentures, buy-back. <b>52(3)</b> AS-compliant cos: only bonus + issue expenses + redemption premium. <b>No dividend</b> . Arises even on non-cash issue |
| 53      | Discount prohibited       | Issue below <b>face value = VOID</b> (measured vs face, not market); refund + interest + penalty. Carve-out 53(2A): discount to creditors on debt → equity under statutory scheme                                                                                                                         |
| 54      | Sweat equity              | To directors/employees for know-how/IP/value. <b>Special resolution</b> (valid 12 months); caps: annual <b>15% of paid-up equity OR ₹5 cr, whichever higher</b> ; overall <b>≤ 25%</b> at any time (start-up <b>50%</b> ); lock-in ~3 yrs; Register SH-3. <b>1-year wait OMITTED w.e.f. 7 May 2018</b>    |
| 55      | Redemption of preference  | Must be redeemable within <b>20 years</b> (infra: beyond, phased). Redeem only from (a) profits available for dividend, or (b) <b>proceeds of fresh issue for purpose</b> (nominal only counts). <b>Only fully-paid</b> may be                                                                            |

| Section  | Rule                    | Limit / detail                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
|----------|-------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|          |                         | redeemed. Profit-funded portion → <b>CRR</b> (equal nominal). 55(3): can't redeem → with $\geq 3/4$ pref consent + <b>Tribunal</b> , issue fresh pref                                                                                                                                                                                                                                                                                                                                                                                         |
| 47/DVR   | DVR shares              | Authorised by articles + ordinary resolution; profit track / no default; cap on % of post-issue paid-up equity (verify); no conversion of existing equity to/from DVR                                                                                                                                                                                                                                                                                                                                                                         |
| 56       | Transfer & transmission | Transfer = voluntary, <b>SH-4</b> stamped + executed, deliver within <b>60 days</b> . Transmission = by law (death/insolvency), only proof. Certificates: <b>2 months</b> (share allotment) / <b>6 months</b> (debenture allotment) / <b>1 month</b> (transfer). Refusal communicated in 30 days. Forged transfer = void ab initio                                                                                                                                                                                                            |
| 58/59    | Refusal / rectification | Private co appeal: 30 days (notice) / 60 days (lodgment); public co: 60/90 days. Public co shares freely transferable                                                                                                                                                                                                                                                                                                                                                                                                                         |
| 61       | Alteration of capital   | If authorised by articles, <b>ordinary resolution</b> : increase authorised / consolidate-divide / convert to stock / sub-divide (paid-up proportion constant) / cancel unissued ( <b>diminution</b> ). Consolidation changing voting % → <b>Tribunal</b> . No Tribunal otherwise                                                                                                                                                                                                                                                             |
| 62       | Further issue           | (a) <b>Rights</b> to existing holders pro-rata, offer <b>15–30 days</b> , notice $\geq 3$ days before, right of renunciation, unsubscribed disposed "not disadvantageously"; (b) <b>ESOP</b> special resolution (ordinary for private co); (c) <b>Preferential allotment</b> to others → special resolution + <b>registered valuer</b> price. 62(3) loan-conversion approved by special res before loan → no rights offer                                                                                                                     |
| 63       | Bonus shares            | Free, from free reserves / securities premium / CRR. <b>NOT</b> from revaluation reserve; authorised by articles + Board + members; no default on debt-securities/statutory dues; partly-paid made fully paid first; <b>cannot be withdrawn</b> once announced; <b>not in lieu of dividend</b> (63(3)). Must fit within authorised ceiling                                                                                                                                                                                                    |
| 64       | Notice of alteration    | File <b>SH-7 within 30 days</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
| 66       | Reduction of capital    | Special resolution + <b>Tribunal (NCLT) + creditor hearing</b> . Forms: extinguish unpaid liability / cancel lost capital / pay off surplus. Barred if in arrears on deposits                                                                                                                                                                                                                                                                                                                                                                 |
| 68/69/70 | Buy-back                | Sources: free reserves / securities premium / fresh issue proceeds. Caps: <b>value <math>\leq 25\%</math> (paid-up capital + free reserves); quantity <math>\leq 25\%</math> paid-up equity/yr</b> ; post-buy-back <b>debt : equity <math>\leq 2:1</math></b> . Board ( $\leq 10\%$ ) or special res ( $\leq 25\%$ ). Fully-paid only; complete in <b>1 yr</b> ; extinguish in <b>7 days</b> ; no same-kind re-issue <b>6 months</b> ; gap between buy-backs <b>1 yr</b> ; nominal → <b>CRR (69)</b> . Barred if in default (curable + 3 yrs) |
| 71       | Debentures              | No voting (71(2)); convertible needs special res before issue; <b>Debenture Trustee</b> (independent) mandatory if offered to public or <b>&gt; 500 persons</b> , appointed BEFORE issue; <b>DRR</b> out of profits (unlisted non-NBFC/HFC; listed + NBFC/HFC exempt since 2019); <b>DRI</b> $\sim 15\%$ of next-year maturities by <b>30 April</b>                                                                                                                                                                                           |
| 72       | Nomination              | Nominee gets shares on death; <b>overrides will</b> for vesting                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |

**Forms:** SH-3 (sweat equity register) · SH-4 (transfer) · SH-7 (alteration) · PAS-3 (return of allotment).

### Computations (formulas — take the tightest cap)

| Computation           | Formula                                                         | Base                            | Trap                         |
|-----------------------|-----------------------------------------------------------------|---------------------------------|------------------------------|
| Buy-back value cap    | $25\% \times (\text{paid-up capital} + \text{free reserves})$   | paid-up                         | using authorised             |
| Buy-back quantity cap | $25\% \times \text{paid-up equity}$                             | paid-up equity alone            | mixing bases                 |
| Buy-back debt test    | $\text{post debt} \div \text{owned funds} \leq 2:1$             | —                               | often the binding cap        |
| Sweat equity annual   | higher of $15\% \times \text{paid-up equity}$ OR ₹5 cr          | paid-up equity                  | taking the lower             |
| Sweat equity overall  | $25\%$ (start-up $50\%$ )                                       | paid-up equity, cumulative      | ignoring overall cap         |
| CRR on redemption     | nominal redeemed <b>out of profits</b>                          | face only                       | counting fresh-issue premium |
| Value of one right    | ex-rights (TERP) – issue price                                  | TERP                            | using cum-rights price       |
| TERP                  | $[(N \times \text{cum-price}) + \text{issue price}] \div (N+1)$ | $N = \text{old shares per new}$ | wrong ratio                  |

| Computation       | Formula                                                                       | Base                | Trap                       |
|-------------------|-------------------------------------------------------------------------------|---------------------|----------------------------|
| Bonus feasibility | reserves $\geq$ shares $\times$ face AND post-bonus paid-up $\leq$ authorised | exclude revaluation | missing authorised ceiling |

### Exam traps & must-remember

1. **Alteration (61) vs Reduction (66)**: cancel unissued = diminution (ordinary, no Tribunal); real reduction needs Tribunal + creditors. Ask "did money go back / buffer shrink?"
2. **Redemption (55)  $\neq$  reduction** — no Tribunal because CRR/fresh issue replaces instantly; only fully-paid pref redeemable.
3. **Discount (53) vs sweat equity (54)**: sweat equity is lawful (non-cash value in), not "void." Discount measured vs **face value**, not market — below-market-above-face is legal.
4. **Securities premium  $\neq$  free profit** — no dividend; closed list (narrower under 52(3)); arises even on non-cash issue; can't be released without Sec 66.
5. **S.47 trigger = 2 years** unpaid dividend (not first miss; "18 months"  $\neq$  triggered); once armed, votes on EVERY resolution.
6. **Cumulative is default** if silent — skipped dividend still payable.
7. **Rights window 15–30 days** (min 15); must mention renunciation; lapse (not renunciation) forfeits value.
8. **S.48**: pass = **3/4**; challenge =  **$\geq 10\%$**  of class within **21 days** (measured on issued class shares, non-consenters only). Don't confuse the two thresholds.
9. **Preference redeemable within 20 years** — no perpetual/irredeemable preference (55). But **debentures CAN be perpetual** (debt outside buffer).
10. **Debentures: no voting (71(2))**, votes only after conversion; **may be issued at discount** (unlike shares); interest payable **even in loss year** (contractual).
11. **Bonus**: not from revaluation reserve; can't withdraw once announced; not in lieu of dividend; must fit authorised ceiling (may need Sec 61 increase first).
12. **Buy-back**: compute ALL 3 ceilings + 2:1 debt ratio, take **minimum** (examiner rigs so debt ratio binds); fully-paid; extinguish 7 days; CRR; 1-yr gap.
13. **Authorised vs paid-up decoy**: all caps (buy-back 25%, sweat 15%/25%, DVR) use **paid-up equity**, never authorised. Only bonus tests authorised ceiling.
14. **"Proceeds of fresh issue" for redemption = nominal only** — premium does NOT reduce CRR; fresh issue must be *for the purpose*.
15. **Transfer (SH-4, voluntary) vs transmission (proof, by law)**. LR can transfer without becoming member. Nomination overrides will for vesting (72).
16. **Public co shares freely transferable (58); private co restricts** — apply right refusal standard to right type.
17. **Trustee: > 500 persons/public**, appointed before issue, independent (no shareholding/indebtedness). DRR exempt for listed + NBFC/HFC since 2019.
18. **DRR (reserve) + DRI (actual deposit by 30 April) are additive, not alternatives**.
19. **Private placement (42):  $\leq 200$  persons per kind per FY** (ex-QIB/ESOP); banking channel only; funds frozen till PAS-3; breach = deemed public offer.

### One-line recall

- Two lamps: **Capital Maintenance** (52/53/55/63/66/68/71) + **Fair Dealing** (47/48/54/62). Ask "capital leaking out, or one group cheating another?"
- Buffer test: unreplaced  $\rightarrow$  Tribunal (66); replaced by CRR/fresh issue  $\rightarrow$  no Tribunal (55/68); reshuffle  $\rightarrow$  ordinary res (61).
- Preference: cumulative/redeemable defaults; full vote after **2 yrs** unpaid dividend; redeemable  **$\leq 20$  yrs**; profit-redemption  $\rightarrow$  CRR.
- Rights **15–30 days** + renunciation; preferential allotment needs **valuer + special res**; bonus not from revaluation, not withdrawable, not in lieu of dividend.
- Debenture = creditor: no votes, discount allowed, interest even in loss; trustee if **> 500**; DRR + DRI.
- All numerical caps use **paid-up equity** (not authorised); compute every cap, answer with the **minimum**.

## Acceptance of Deposits — CA Inter Revision Note

Companies Act 2013, Sections 73–76A + Companies (Acceptance of Deposits) Rules, 2014.

### Snapshot

- A **deposit** is economically a loan; regulated because the lender is a *helpless, unsecured, diffuse public saver*. Protects the weak lender.
- Architecture in one line: **define widely (2(31)), exempt narrowly (Rule 2(1)(c)), fence what remains (73–76A)**.
- Vulnerability ladder → regulation intensity: Banks/Govt (exempt) → directors/insiders (exempt with declaration) → members (S.73, light) → public (S.76 + rating, heaviest).
- Each promise gets a **provable, independent** provision: circular (disclose), file with ROC (record), DRRA (fund), insurance, no-default certificate, credit rating, trustee.

### Core concepts

- **Deposit — 2(31)**: "receipt of money by way of deposit or loan or in any other form," minus prescribed exemptions. Substance over label — "advance/loan/subscription" relabelling defeated.
- **Anti-parking clocks**: share application money — allot in **60 days**, refund in **15 days** after, else deposit; trade/service advance — adjust in **365 days**, else deposit. *Later refund does NOT un-convert*.
- **Three lanes**: exempt (Rule 2(1)(c)) → Govt company (RBI regime) → **Eligible company (S.76)** = public co with net worth  $\geq \text{₹}100 \text{ cr}$  OR turnover  $\geq \text{₹}500 \text{ cr}$  (public + members) → ordinary company (**members only, S.73**).
- **Base for all caps** = paid-up capital + **free reserves** + securities premium. Exclude **revaluation reserve** (not a free reserve, 2(43)).

### Key provisions / sections

| Section / Rule | Rule                      | Limit / detail                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
|----------------|---------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 2(31)          | Deposit defined           | "loan or any other form"; exemptions per Rule 2(1)(c)                                                                                                                                                                                                                                                                                                                                                                                                               |
| Rule 2(1)(c)   | Exempted receipts         | Govt / banks / PFIs / another <b>company</b> (not firm/LLP) / commercial paper / share application (60+15 clock) / <b>director</b> loan (written non-borrowed declaration) / <b>relative</b> in private co (declaration) / secured-listed NCDs / trade advance (365) / advance for immovable property / employee security deposit ( $\leq$ annual salary, non-interest) / promoter loan (while bank/FI loan subsists) / startup convertible note ( $\leq$ ₹25 lakh) |
| 73(1)          | Prohibition               | Cannot invite/accept/renew from <b>public</b> except per Chapter                                                                                                                                                                                                                                                                                                                                                                                                    |
| 73(2)          | Members' lane             | <b>Ordinary resolution</b> in GM + conditions (a)–(e)                                                                                                                                                                                                                                                                                                                                                                                                               |
| 76             | Eligible company → public | Net worth $\geq \text{₹}100 \text{ cr}$ OR turnover $\geq \text{₹}500 \text{ cr}$ ; <b>special resolution</b> filed with ROC; all 73(2) conditions + <b>credit rating</b>                                                                                                                                                                                                                                                                                           |
| Rule 3(3)      | Ordinary co (members) cap | <b>35%</b> of (cap + free reserves + premium)                                                                                                                                                                                                                                                                                                                                                                                                                       |
| Rule 3(4)      | Eligible co caps          | <b>10%</b> members + <b>25%</b> public (separate buckets); Govt eligible co <b>35%</b> public                                                                                                                                                                                                                                                                                                                                                                       |
| Notification   | Exempt private co         | Up to <b>100%</b> (members) if: $\leq 100\%$ aggregate, OR startup (5 yrs), OR (not associate/subsidiary + borrowings $< 2 \times$ paid-up or ₹50 cr whichever lower + no default). Still file DPT-3                                                                                                                                                                                                                                                                |
| Rules          | Tenure                    | <b>6 to 36 months</b> (short-term min 3 months, capped 10% of cap+reserves)                                                                                                                                                                                                                                                                                                                                                                                         |
| Rules          | Interest / brokerage      | $\leq$ RBI NBFC max; brokerage only to authorised persons; premature repayment → rate stepped down + <b>~1%</b> penalty                                                                                                                                                                                                                                                                                                                                             |
| 73(2)(a)       | Circular / advertisement  | Financials + credit rating + past deposits (DPT-1); valid up to 6 months from FY close or AGM (earlier)                                                                                                                                                                                                                                                                                                                                                             |
| 73(2)(b)       | File circular             | <b><math>\geq 30</math> days</b> before issue                                                                                                                                                                                                                                                                                                                                                                                                                       |

| Section / Rule | Rule                   | Limit / detail                                                                                                                                                     |
|----------------|------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 73(2)(c)       | <b>DRRA</b>            | ≥ <b>20%</b> of deposits maturing next FY, by <b>30 April</b> , separate scheduled-bank a/c, only for repayment (was 15%)                                          |
| 73(2)(d)       | Deposit insurance      | As prescribed ( <b>operation deferred</b> — flag it)                                                                                                               |
| 73(2)(e)       | No-default certificate | No subsisting default; if defaulted, <b>5 years</b> elapsed since cured                                                                                            |
| Rules / DPT-2  | Security / trustee     | Charge on tangible assets ≥ unsecured amount; independent deposit trustee (not director/KMP/officer/related/indebted); trust deed 7 days before circular           |
| Rules          | Register of deposits   | Keep <b>8 years</b>                                                                                                                                                |
| Rules / DPT-3  | Annual return          | By <b>30 June</b> , position as on <b>31 March</b> , audited; also reports non-deposit receipts                                                                    |
| 73(4)          | Depositor remedy       | Apply to <b>NCLT</b> for repayment order                                                                                                                           |
| 74             | Pre-2013-Act deposits  | File statement (DPT-4) + repay in Tribunal's time (transition bridge)                                                                                              |
| 75             | Fraud                  | If accepted with intent to defraud → officers <b>personally liable, unlimited</b> + S.447; class suit by any depositor                                             |
| 76A            | Contravention penalty  | Company: <b>lower of ₹1 cr or 2× deposits, up to ₹10 cr</b> + repay with interest; officer: <b>₹25 lakh–₹2 cr AND up to 7 yrs jail</b> ; intent to deceive → S.447 |

**Forms:** DPT-1 (invites/circular) · DPT-2 (protects/trust deed) · DPT-3 (reports/return) · DPT-4 (transitions/old deposits).

**Calendar:** 31 March snapshot → 30 April fund DRRA → 30 June file DPT-3.

### Computation logic (deposit ceilings)

- Base = paid-up capital + free reserves + securities premium (**exclude revaluation reserve**).
- Ordinary co:  $35\% \times \text{base} - \text{existing member deposits} = \text{headroom}$ .
- Eligible co: test 10% (members) and 25% (public) **separately** — cannot merge or lend headroom between lanes.

### Exam traps & must-remember

1. **"Includes loan"** — a loan from the public IS a deposit; exemption list is the only escape.
2. **60/15 and 365 clocks** — expiry silently converts to deposit; **later refund does not un-convert**.
3. **Members (35%) vs public** — only eligible co touches public (25%), its members slice drops to **10%**.
4. **Eligibility = OR not AND** — net worth ₹100 cr OR turnover ₹500 cr.
5. **Special (public/76) vs ordinary (members/73)** resolution — don't swap.
6. **DRRA = 20%** (was 15%) of **next year's** maturities, by **30 April**, separate a/c — not "15%", not "total deposits", not "31 March".
7. **Deposit insurance deferred** — know it exists, flag postponement.
8. **Director loan needs non-borrowed declaration; relative exemption only for private co** (+ declaration).
9. **6 to 36 months** (not 60); 3-month short-term is narrow exception ≤10%.
10. **DPT-3 also reports non-deposit receipts/loans** — file even with no deposits.
11. **Govt eligible co = 35% public** (vs 25% private-sector).
12. **S.74 = old (pre-2013) deposits** — one-time bridge, don't confuse with ongoing repayment.
13. **Revaluation reserve is NOT a free reserve** — exclude from base (2(43)).
14. **"Company" ≠ firm/LLP** in inter-corporate exemption.
15. **Company fine floor = lower of ₹1 cr or 2× deposits** — small contravention gets 2× (e.g. ₹30 lakh deposit → ₹60 lakh); fine is **in addition to** repayment.
16. **Eligible-co buckets don't merge** — 10% and 25% tested separately.

17. **Employee security deposit** must be non-interest + within annual salary.
18. **Promoter loan exemption dies with the bank loan.**
19. **Circular has 6-month shelf life** — collecting on stale circular = contravention.

### One-line recall

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- Define widely (2(31)), exempt narrowly (Rule 2(1)(c)), fence in proportion to lender helplessness, force provable safety nets, punish default as public wrong.
- Eligible co = net worth **₹100 cr OR** turnover **₹500 cr**; caps **35%** (ordinary members) / **10% members + 25% public** (eligible) / **35%** (Govt public) / **100%** (exempt private).
- Clocks: share money **60+15**, trade advance **365**; tenure **6–36 months**.
- DRRA **20%** of next-yr maturities by **30 April**; DPT-3 return by **30 June** (31 March snapshot).
- Default: NCLT (73(4)) → unlimited personal liability for fraud (75) → 76A penalty (company lower of ₹1 cr/2×, up to ₹10 cr; officer ₹25 lakh–₹2 cr + 7 yrs).
- Forms: DPT-1 invites, DPT-2 protects, DPT-3 reports, DPT-4 transitions.



## Registration of Charges — CA Inter Revision Note

Companies Act 2013, Chapter VI, Sections 77–87 + Companies (Registration of Charges) Rules, 2014.

### Snapshot

- A charge is created by contract; **registration only perfects** it (makes it effective against third parties). Registration does NOT create the charge.
- Core bargain: register → whole world deemed to know (S.80) → priority + survives liquidation. Don't register → **void against liquidator & creditors** (S.77(3)), but **valid between company & lender** and **debt survives** (S.77(4)).
- Duty on **both** company (S.77) and charge-holder (S.78).
- Two registers: Registrar's public register (S.81) + company's own register at registered office (S.85).
- Certificate of registration (CHG-2) is **conclusive evidence** of due registration.

### Core concepts

- **Charge — S.2(16)**: interest or lien on company property/assets as security; **includes mortgage**. Wide definition catches substance not label. Covers hypothecation (charge over movables, **no possession**). Pledge (possession passes to lender) generally NOT a S.77 registrable charge; lien generally not registrable. Registration matters most where asset **stays with company** (no outward warning). 2013 Act sweeps in *all* charges (dropped 1956's nine-category list).
- **Fixed vs floating charge**: Fixed = specific identified asset, company can't deal freely, strong priority. Floating = shifting class (stock, book debts), company trades in ordinary course, weaker priority, **crystallises** on (i) default + lender intervention, (ii) winding-up, or (iii) cessation of business. Memory: *fixed = frozen; floating = free till it crystallises*.
- **Priority sting**: a LATER fixed charge can beat an EARLIER floating charge on the same asset (floating charge licensed ordinary-course dealings) — unless a **negative-pledge clause** was registered giving S.80 deemed notice. "First registered" ≠ "first in priority".
- **Deemed notice — S.80**: runs **forward from date of registration**, only of **registered particulars**. Late registration gives no notice for the gap; understated filing binds only to understated amount.

### Key provisions / sections

| Section            | Rule                          | Limit / detail                                                                                                                                                               |
|--------------------|-------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 2(16)              | Definition of charge          | Interest/lien as security; includes mortgage; covers hypothecation                                                                                                           |
| 77                 | Duty of company to register   | Within <b>30 days</b> of creation; Form CHG-1 (non-debenture)/CHG-9 (debenture)                                                                                              |
| 77 post-2 Nov 2018 | Extension ladder              | 30 → <b>60 days</b> (additional fee) → <b>120 days</b> (ad valorem fee). After 120 days: <b>cannot register</b> . All measured <b>from creation</b>                          |
| 77 pre-2 Nov 2018  | Old ladder                    | 30 → <b>300 days</b> (additional fee) → then within <b>6 months of 2 Nov 2018</b> (ad valorem)                                                                               |
| 77(3)              | Non-registration effect       | Charge <b>not taken into account by liquidator (Act/IBC) or creditor</b> unless registered + certificate issued                                                              |
| 77(4)              | Debt survives                 | Repayment obligation unaffected; lender becomes <b>unsecured</b> creditor                                                                                                    |
| —                  | Certificate                   | CHG-2 = <b>conclusive evidence</b> of due registration                                                                                                                       |
| 78                 | Registration by charge-holder | If company fails within 30 days, lender may apply; Registrar gives company <b>14 days'</b> notice; lender <b>recovers fee</b> from company; still bound by outer 60/120 caps |
| 79                 | Modification                  | S.77 rules apply; <b>30 days</b> ; CHG-1/CHG-9; unregistered increase void as to excess                                                                                      |
| 80                 | Deemed notice                 | Anyone acquiring property deemed to have notice from date of registration                                                                                                    |
| 81                 | Registrar's register          | Public searchable register                                                                                                                                                   |

| Section | Rule                                    | Limit / detail                                                                                                                                                                           |
|---------|-----------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 82      | Satisfaction                            | Intimate within <b>30 days</b> (ext. <b>300 days</b> on additional fee — survived 2019); Form CHG-4 → Registrar records CHG-5; 14-day notice to charge-holder unless it has signed       |
| 83      | Registrar's power                       | May record satisfaction/release on evidence; inform company in <b>30 days</b>                                                                                                            |
| 84      | Receiver/Manager                        | Notice to company + Registrar within <b>30 days</b> of appointment AND cessation; Form CHG-6                                                                                             |
| 85      | Company's own register                  | At registered office, Form CHG-7; members/creditors inspect <b>free</b> , others on fee. NOT S.88 (members)                                                                              |
| 86      | Punishment                              | 86(1) penalty on company + every officer in default; 86(2) wilful false/suppressed info → <b>S.447 fraud</b>                                                                             |
| 87      | Rectification by CG (Regional Director) | Extend time/rectify for <b>satisfaction</b> & errors if accidental/inadvertent & <b>not prejudicial</b> . <b>NO longer covers late registration of creation/modification</b> (post-2019) |

**Forms:** CHG-1 register/modify (non-deb), CHG-9 (deb), CHG-2 certificate, CHG-3 modification cert, CHG-4 intimation of satisfaction, CHG-5 memorandum of satisfaction (by Registrar), CHG-6 receiver, CHG-7 company register, CHG-8 CG application/condonation, CHG-10 reasons for delay.

### Exam traps & must-remember

1. **"Void against the company"** — **WRONG**. Void only vs liquidator & creditors; valid vs company (it made the charge).
2. **Debt does NOT vanish** — S.77(4). Lender drops to unsecured, keeps pro-rata claim. "Loses entire amount" overstates.
3. **Old 300-day vs new 30→60→120**: For creation/modification **on or after 2 Nov 2018**, max = **120 days**; 300-day route gone. 300 days survives **only for satisfaction (S.82)** and pre-2 Nov 2018 charges.
4. **S.87 no longer condones late creation** post-2019 — only satisfaction/rectification. Don't cite for late new charge.
5. **Both 60 & 120 windows run from creation (Day 0)**, not from each other. Don't add 60 to end of first extension.
6. **Registration perfects, doesn't create** — charge exists from contract date.
7. **Certificate CHG-2 is conclusive** — can't reopen for technical defects.
8. **Two registers**: S.81 (Registrar, public) vs S.85 (company, at registered office). Don't confuse S.85 (charges) with S.88 (members).
9. **Satisfaction needs charge-holder confirmation or 14-day notice**.
10. **Lie (false/suppressed particulars) = fraud (86(2)/447)**, not mere penalty (86(1) delay). Watch fact patterns hiding a knowing misstatement.
11. **First registered ≠ first in priority** (fixed can beat earlier floating unless negative pledge registered).
12. **Asymmetry**: creation capped at 120 (late creation harms innocent third party); satisfaction survives at 300 (late release only over-states debts — safe direction).
13. **Numerical drill**: Day 0 = creation; classify filing day into 0–30 (normal) / 31–60 (additional fee) / 61–120 (ad valorem) / >120 (cannot register, void).

### One-line recall

- A secret security is a security the law won't honour where it counts — register within 30 days or lose priority in insolvency.
- Post-2018 ladder: **30 → 60 → 120 days** (creation); satisfaction **30 → 300 days**.
- Unregistered charge = **void vs liquidator/creditors, valid vs company; debt survives as unsecured claim** (77(3)/(4)).
- Deemed notice (S.80) runs **forward from registration**, only of registered particulars; certificate CHG-2 is **conclusive**.
- Duty on both company (S.77) and charge-holder (S.78); lender can self-file + recover fee.
- S.87 rectifies **satisfaction/errors only** now — never revives late creation/modification.

## Management & Administration — CA Inter Revision Note

Companies Act 2013, Chapter VII, Sections 88–122 + Section 12 (registered office) + Companies (Management and Administration) Rules, 2014.

### Snapshot

- Three pillars: **Visibility** (office, register of members, SBO, annual return), **Fairness of decision-making** (notice, explanatory statement, quorum, proxy, poll/e-voting/postal ballot), **Proof** (filed resolutions, minutes).
- Threshold pricing by disruption: **10%** to force the Board's hand; **1% or ₹5 lakh** to put an item on the calendar; **95%** to waive protection (short notice); **75%** to change the bargain (special resolution).
- Audiences: outsiders get filed returns/resolutions; members get participation & inspection; company gets internal certainty.

### Core concepts

- Registered office (S.12)**: legal home to be found & served. Publication: name + address outside office (English + local language), name on seal, CIN + contact on all letters/billheads; OPC prints "(One Person Company)". Four-tier change ladder by disruption.
- Beneficial interest (S.89) vs SBO (S.90)**: S.89 = simple single-layer nominee, **no threshold** (even 1 share). S.90 = ultimate **individual** (natural person) behind layers, **≥10%** OR significant influence/control. Both can bite at once.
- AGM (S.96)**: yearly reckoning; ordinary business = accounts, dividend, retiring directors, auditor appointment (closed list of 4). EGM has NO ordinary business.
- Show of hands vs poll**: show of hands = one member one vote (heads); poll = counted by shareholding. Validly demanded poll overrides; chairman can't refuse.
- Proxy vs corporate representative**: proxy (S.105) can't vote on show of hands, can't (usually) speak, **NOT counted for quorum**. Corporate rep (S.113) / President-Governor rep (S.112) = member "in person": vote on show of hands & poll, **count for quorum**, may speak.

### Key provisions / sections

| Section | Subject                                              | Rule / limit                                                                                                                                                                                                                                                                                             |
|---------|------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 12      | Registered office                                    | Office within <b>30 days</b> of incorporation (INC-22); change filed in <b>15 days</b> . Same town → Board res; outside local/same state → special res; different state → special res + RD approval + S.13. Default: <b>₹1,000/day</b> up to <b>₹1,00,000</b> . 12(9) physical verification → strike off |
| 88      | Register of members/debenture/other security holders | Form MGT-1; index if members > <b>50</b> ; foreign register allowed (duplicate at reg. office); entries within <b>7 days</b> of Board approval. Beneficial owner NOT on register                                                                                                                         |
| 89      | Declaration of beneficial interest                   | Nominee MGT-4, beneficiary MGT-5 — each within <b>30 days</b> ; company files MGT-6 within <b>30 days</b> . Undeclared beneficiary's rights <b>unenforceable</b> until filed (89(8) suspension, not forfeiture)                                                                                          |
| 90      | Significant Beneficial Owner                         | Individual with <b>≥10%</b> or significant influence/control; BEN-1 (SBO)→BEN-2 (company)→BEN-3 (register)→BEN-4 (notice). Tribunal may <b>freeze shares</b> (transfer/dividend/voting)                                                                                                                  |
| 92      | Annual return                                        | MGT-7 (MGT-7A for small/OPC); figures at <b>close of FY</b> ; file within <b>60 days of AGM</b> (or last date AGM should've been held + reasons). Certification MGT-8 for listed / paid-up <b>≥₹10 cr</b> / turnover <b>≥₹50 cr</b>                                                                      |
| 94      | Place of keeping registers                           | Reg. office, or elsewhere if <b>&gt;1/10th members reside there AND</b> special resolution (both mandatory)                                                                                                                                                                                              |
| 96      | AGM                                                  | 1st within <b>9 months</b> of 1st FY end (NOT extendable); later within <b>6 months</b> of FY end; gap <b>≤15 months</b> ; ROC extension up to <b>3 months</b> (not first AGM). Business                                                                                                                 |

| Section     | Subject                            | Rule / limit                                                                                                                                                                                                                                             |
|-------------|------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|             |                                    | hours 9am–6pm, not a <b>National Holiday</b> , in city/town/village of reg. office. Default (S.99): fine up to ₹1,00,000 + ₹5,000/day                                                                                                                    |
| 97 / 98     | Tribunal calls meeting             | 97 = default in AGM (member applies); 98 = any other meeting <b>impracticable</b> (director/member/Tribunal). Both can order <b>one-member quorum</b>                                                                                                    |
| 100         | EGM                                | Board, or requisition by <b>≥1/10th</b> paid-up voting capital; Board calls within <b>21 days</b> , holds within <b>45 days</b> ; else requisitionists self-call within <b>3 months</b> , recover expenses from company                                  |
| 101         | Notice                             | <b>21 clear days</b> (exclude day of service + day of meeting; +48 hrs postal). Shorter: AGM <b>95% of members entitled to vote</b> ; EGM <b>95% of paid-up voting capital</b> . 101(4) accidental omission doesn't invalidate                           |
| 102         | Explanatory statement              | Special business: material facts + nature of interest of director/KMP/manager/relatives; cross-holding in other company disclosed if <b>≥2%</b> . Default (102(4)): <b>disgorge benefit + penalty ₹50,000 or 5× benefit, whichever more</b>              |
| 103         | Quorum                             | Public: <b>5</b> (≤1,000 members) / <b>15</b> (>1,000–5,000) / <b>30</b> (>5,000); Private: <b>2</b> . Personally present (proxies don't count). If absent in ½ hr: requisitioned meeting <b>dissolved</b> ; else <b>adjourned</b> to same day next week |
| 104         | Chairman                           | Elected by show of hands; poll on election taken <b>forthwith</b>                                                                                                                                                                                        |
| 105         | Proxy                              | Need not be member; votes only on poll; can't speak (usually); deposit <b>≤48 hrs</b> before (max, not min); one proxy for <b>≤50 members &amp; ≤10%</b> voting capital                                                                                  |
| 106         | Voting restriction                 | Only for unpaid calls / lien                                                                                                                                                                                                                             |
| 107/108     | Show of hands / e-voting           | Heads first; e-voting mandatory for listed & <b>≥1,000</b> members (then no show of hands)                                                                                                                                                               |
| 109         | Poll                               | Demand by <b>≥1/10th</b> voting power OR <b>₹5,00,000</b> paid-up (disjunctive); chairman suo motu; taken forthwith (adjournment/chairman) or within <b>48 hrs</b> ; counted by shareholding; chairman can't refuse                                      |
| 110         | Postal ballot                      | NOT for ordinary business or right-to-be-heard items; deemed passed at GM. OPC/≤200 members relaxation                                                                                                                                                   |
| 111         | Circulation of members' resolution | Same <b>1/10th</b> threshold; puts item on scheduled meeting (not a fresh EGM)                                                                                                                                                                           |
| 112/113     | State / corporate representative   | Full member rights; count for quorum                                                                                                                                                                                                                     |
| 114         | Ordinary / special resolution      | Ordinary = for > against (simple majority). Special = intention stated in notice <b>AND</b> for <b>≥3× against (75% of votes cast)</b> . Both limbs mandatory                                                                                            |
| 115         | Special notice                     | Members <b>≥1%</b> voting power OR <b>₹5,00,000</b> paid-up; <b>14 days</b> before meeting; company notifies members <b>≥7 days</b> before. Special notice ≠ special resolution                                                                          |
| 116         | Adjourned-meeting resolution       | Passed on actual date (no back-dating)                                                                                                                                                                                                                   |
| 117         | Filing of resolutions              | MGT-14 within <b>30 days</b> ; all special resolutions + Board res under S.179(3). Banking loan/guarantee resolutions exempt                                                                                                                             |
| 118         | Minutes                            | Enter within <b>30 days</b> ; signed by chairman (or next meeting's chairman); <b>evidence until contrary proved</b> (rebuttable, not conclusive); SS-1/SS-2; no tampering                                                                               |
| 119         | Inspection of minutes              | GM minutes open to members <b>free</b> ; <b>copy in 7 working days</b> on fee. Board minutes <b>closed</b> to members                                                                                                                                    |
| 120/121/122 | E-records / AGM report / OPC       | 121: <b>listed public</b> company files MGT-15 within <b>30 days</b> of AGM. 122: S.98 & 100–111 <b>don't apply</b> to OPC; sole member records + signs minute (deemed meeting date)                                                                     |

### Exam traps & must-remember

1. "**Clear days**" excludes both day of sending and day of meeting + ~2 days postal.

2. **Proxy ≠ corporate representative** — proxy no show-of-hands vote, not counted for quorum; corporate rep does both.
3. **Special resolution = 75% of votes CAST** (not total membership) + intention stated in notice. Both limbs.
4. **First AGM = 9 months, NOT extendable**; subsequent = 6 months; gap ≤ 15 months; extension up to 3 months (later AGMs only).
5. **Quorum 5/15/30** by member count (public); private always 2. Proxies don't count; corporate/State reps do.
6. **Requisition threshold = 1/10th** (also poll voting-power limb & S.111). **₹5,00,000** limb applies only to **poll** and **special notice**, not EGM requisition.
7. **Postal ballot** not for ordinary business or right-to-be-heard items.
8. **Proxy deposit ≤48 hrs before** is a **maximum** — a proxy lodged 24 hrs before is valid; article demanding >48 hrs advance is void.
9. **S.102(4) = disgorgement (benefit returned) + separate penalty** (₹50,000 or 5× benefit). Don't merge.
10. **Board minutes NOT open to members** (S.119 = GM minutes only).
11. **OPC (S.122)**: no AGM, S.100–111 excluded, BUT still keeps registers, files annual return, keeps minutes.
12. **Accidental omission of notice (101(4))** doesn't void; **deliberate** omission does.
13. **Special notice ≠ special resolution** — removal of director (S.169) needs special notice but passes by **ordinary resolution**.
14. **Minutes = "evidence until contrary proved,"** not conclusive proof.
15. **SBO is always an individual** — look through holding companies; influence/control limb catches someone below 10%.
16. **S.97 (AGM not held, member applies) vs S.98 (any other meeting impracticable, also Tribunal suo motu).**
17. **MGT-14 not "special resolutions only"** — S.179(3) Board resolutions also filed within 30 days.

### One-line recall

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- A company acts only through people → every collective act must be **visible, fair, and recorded** so power traces to a legitimate source.
- Thresholds priced by disruption: **10% force / 1% or ₹5 lakh calendar / 95% waive / 75% change**.
- Notice **21 clear days**; special resolution = **≥3× against (75% of votes cast) + stated in notice**.
- Proxy can't vote on show of hands or count for quorum; corporate/State representative can.
- AGM: 1st in **9 months (not extendable)**, later **6 months**, gap **≤15 months**.
- Minutes are **evidence until the contrary is proved**; Board minutes closed to members.

## Declaration & Payment of Dividend — CA Inter Revision Note

Companies Act 2013, Chapter VIII, Sections 123–127 + Companies (Declaration & Payment of Dividend) Rules, 2014 + IEPF Rules, 2016.

### Snapshot

- One rule: **dividend only out of genuinely earned + realised profit, NEVER out of the capital that protects creditors** (capital maintenance).
- Two anchors: **A — Real profit test** (protects creditors); **B — Money must actually move** (protects shareholders).
- The switch: **recommendation = reversible hope; declaration = irreversible debt**. Explains irrevocability, 30-day clock, interest penalties.
- Queue: **creditors before owners, always** (residual-claimant logic).

### Core concepts

- **Dividend — 2(35)**: "includes any interim dividend" (plugs the interim escape hatch). Paid on **paid-up** value, not face (S.51).
- **Free reserves — 2(43)**: distributable per latest audited BS, EXCLUDING revaluation / notional / unrealised / fair-value gains. Securities premium & CRR are NOT free reserves (ring-fenced). "Free = free of fantasy."
- **Final dividend**: Board recommends, **members declare** at AGM (can reduce, NOT increase). **Interim dividend**: **Board declares**.
- **"Declared" ≠ "Paid"**: declaration creates debt; payment discharges it. A validly declared but unpaid dividend = S.127 offence.

### Key provisions / sections

| Section / Rule | Rule                                                | Limit / detail                                                                                                                                                                                                                                                                                                               |
|----------------|-----------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 123(1)         | Sources                                             | (a) current-year profit after depreciation, (b) past undistributed profit after depreciation, (c) Govt guarantee money. <b>1st proviso</b> : set off carried-over losses + past unprovided depreciation first. <b>2nd proviso</b> : transfer to reserves = <b>VOLUNTARY</b> (no min/max; 1956 compulsory transfer abolished) |
| 123(2)         | Depreciation                                        | Compulsory per <b>Schedule II</b> (useful-life based); current + arrears; always mandatory even in bumper year                                                                                                                                                                                                               |
| Rule 3         | Dividend from past reserves (inadequate/nil profit) | <b>"3-10-plug-15"</b> : rate ≤ avg of last <b>3 years</b> ; amount ≤ <b>10%</b> of (paid-up capital + free reserves); set off current losses first; balance reserves ≥ <b>15%</b> of paid-up capital. All four apply together. Rate cap waived if no dividend in all 3 preceding years                                       |
| 123(3)         | Interim dividend                                    | Board declares (during FY or between FY-end and AGM) from surplus P&L / current-year profit / profit to preceding quarter. <b>Loss-brake</b> : if loss up to end of preceding quarter, rate ≤ <b>3-year average</b>                                                                                                          |
| 123(4)         | Separate account                                    | Deposit dividend in separate scheduled-bank account within <b>5 days</b> of declaration                                                                                                                                                                                                                                      |
| 123(5)         | Mode / payee                                        | <b>Cash only</b> (incl. cheque/warrant/electronic — NOT in kind); to registered holder / order / banker                                                                                                                                                                                                                      |
| 123(6)         | Deposit-defaulter bar                               | Company failing S.73/74 (deposits) cannot declare <b>any equity dividend</b> while failure continues                                                                                                                                                                                                                         |
| 124(1)         | Unpaid Dividend A/c                                 | Unclaimed/unpaid after 30 days → transfer to Unpaid Dividend Account within <b>7 days (= day 37)</b>                                                                                                                                                                                                                         |
| 124(3)         | Default interest                                    | <b>12% p.a.</b> on amount not transferred (to members' benefit)                                                                                                                                                                                                                                                              |
| 124(2)         | Website disclosure                                  | Statement of names/amounts on website within <b>90 days</b>                                                                                                                                                                                                                                                                  |
| 124(5)         | Money to IEPF                                       | Unclaimed <b>7 years</b> from transfer to Unpaid Dividend A/c → IEPF                                                                                                                                                                                                                                                         |

| Section / Rule | Rule                             | Limit / detail                                                                                                                                                                                                                |
|----------------|----------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 124(6)         | <b>Shares to IEPF</b>            | Shares unpaid/unclaimed dividend for <b>7 CONSECUTIVE years</b> → transferred to IEPF Authority (one claim resets clock); reclaimable                                                                                         |
| 124(7)         | Penalty                          | Company + officers fined (confirm current figures)                                                                                                                                                                            |
| 125            | IEPF                             | Fund for investor education + refunds; credited with unpaid dividends, refundable application money, matured deposits/debentures, etc., unclaimed 7 yrs. Owner reclaims from <b>IEPF Authority</b> (Form IEPF-5), not company |
| 126            | Abeyance (mid-transfer)          | Dividend → Unpaid Dividend A/c (unless registered holder authorises transferee); rights & bonus <b>held in abeyance</b> till transfer registered                                                                              |
| 127            | Non-payment of declared dividend | Not paid/warrant not posted in <b>30 days</b> → every director party to default: <b>jail up to 2 yrs + fine ≥ ₹1,000/day</b> ; company: <b>18% p.a.</b> interest. <b>5 exceptions</b> below                                   |

**S.127 five exceptions (no offence):** (1) couldn't pay due to operation of law; (2) shareholder's directions couldn't be complied with; (3) dispute over right to receive; (4) lawful **set-off** against sum due from shareholder (e.g. call in arrears); (5) non-payment not due to company's default.

### Computation logic (Rule 3 — dividend from reserves)

- Convert "reserves" → **free reserves** first (strip revaluation reserve, securities premium, CRR).
- Test all 4 caps; find the binding one: rate ( $\leq 3$ -yr avg), amount ( $\leq 10\%$  of cap+free reserves), set-off current loss, floor (reserves  $\geq 15\%$  of paid-up capital).
- Different caps bind at different rates — rate cap often decisive.

### Exam traps & must-remember

1. **Transfer to reserves is VOLUNTARY** (2013 Act) — compulsory graded transfer is 1956 law. But Rule 3 imposes a conditional **15% floor** on withdrawals.
2. **Members can reduce, NOT increase** the Board's recommended final dividend.
3. **Revaluation surplus never distributable** (2(43)); also excludes notional/fair-value gains.
4. **37 days** to Unpaid Dividend A/c (= 30 + 7), not 30 or 7 alone.
5. **SHARES also move to IEPF** (124(6)) after **7 consecutive years** — not just money.
6. **IEPF money/shares reclaimable** forever from the Authority (125(3)(a)).
7. **12% (S.124) vs 18% (S.127)** — don't swap. 18% = worse offence (not paying shareholder at all).
8. **No dividend in kind** — cash/cheque/electronic only.
9. **Interim loss-brake:** loss up to preceding quarter → rate  $\leq 3$ -yr average.
10. **Deposit-defaulter bar** (123(6)) — no equity dividend while S.73/74 default continues (cure default → gate opens).
11. **30 days from declaration**, not from AGM notice/record date.
12. **Depreciation always mandatory** (123(2)), even in high-profit year.
13. **Set off past losses + unprovided past depreciation** first, even from current profit.
14. **"Consecutive"** = unbroken for share transfer; one claim resets. Money clock (7 yrs from parking)  $\neq$  share clock (7 consecutive years).
15. **Securities premium / CRR never distributable.**
16. **Final = members declare; interim = Board declares** — don't swap.
17. **All 4 Rule 3 caps together** — fail one, dividend dies.
18. **Dividend on paid-up value** (S.51), not face — partly-paid trap.
19. **S.127 exceptions** — if facts fit (esp. set-off / returned undelivered), no offence, no 18%.

### One-line recall

- Dividend only from real realised profit (current/past after depreciation or Govt guarantee); set off past losses first; reserve transfer voluntary.
- Rule 3 raid = **"3-10-plug-15"** on **free reserves** (strip revaluation).

- Timeline: **5** ring-fence · **30** pay · **37** park · **90** publish · **7 years** to IEPF (money AND shares, reclaimable).
- Interest: **12%** parking late (124), **18%** paying never (127); director jail up to 2 yrs + ₹1,000/day.
- Interim = Board declares with loss-brake ( $\leq 3$ -yr avg); final = members declare (can't exceed Board rate).
- Deposit-defaulter (73/74) cannot declare equity dividend (123(6)); creditors before owners.



## Accounts of Companies — CA Inter Revision Note

Companies Act 2013, Chapter IX, Sections 128–138 (+ NFRA S.132).

### Snapshot

- The chapter is one long war on **information asymmetry** between managers (know the truth) and investors (don't). Mandatory because disclosure is a public good the fox won't self-provide.
- Information supply chain (each section = a quality gate): Transactions → **[128 books]** → **[129/133 statements]** → **[134 Board owns/signs]** → **[143 auditor checks]** → **[136 members]** → **[137 public filing]** → **[132 NFRA polices the checkers]**.
- Design patterns: **proportionality by size** (135/138/132), **named human accountability** (MD/WTD-finance/CFO/CS), **reserve criminality for dishonesty** (128/129 keep jail; 134/135/137 decriminalised to money 2019/20).

### Core concepts

- **Books of account (2(13))**  $\subset$  **books and papers (2(12))**; output = **financial statements (2(40))** = Balance Sheet + P&L + Cash Flow + Statement of Changes in Equity + Notes.
- **Cash Flow Statement exempt** for OPC, small company, dormant company, specified start-up.
- **"True and fair view"** (not "true and correct") + accounting standards (133) + Schedule III form = anti-manipulation lock.
- **IFC (Expl. to 134(5)(e))**: policies/procedures for orderly & efficient conduct, adherence to policies, safeguarding assets, prevention/detection of frauds & errors, accuracy & completeness of records, timely reliable financial info.

### Key provisions / sections

| Section | Rule                               | Limit / detail                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
|---------|------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 128     | Books of account                   | True & fair incl. branches; <b>accrual + double-entry</b> ; at registered office (or other place in India → <b>ROC notice within 7 days</b> ); director's inspection right (NOT member's); electronic mode needs <b>India back-up</b> + annual ROC intimation of server/IP; preserve <b>≥ 8 financial years</b> (all years if younger; longer if investigation). Responsible: MD/WTD-finance/CFO/charged person. Penalty: <b>imprisonment up to 1 yr / fine ₹50,000–₹5,00,000 / both</b> |
| 129     | Financial statements               | True & fair, per S.133 standards, Schedule III form. Insurance/banking/electricity follow special-Act forms (but still true & fair). Lay before AGM. <b>129(3): CFS</b> if subsidiary/associate/JV + <b>Form AOC-1</b> . 129(5): disclose deviation + reasons + effect. Penalty: imprisonment up to 1 yr / ₹50,000–₹5,00,000 / both                                                                                                                                                      |
| Rule 6  | CFS relaxation                     | No CFS if: WOS (or partially-owned + members don't object) + not listed + ultimate/intermediate parent files CFS with ROC                                                                                                                                                                                                                                                                                                                                                                |
| 133     | Accounting standards               | CG prescribes on <b>ICAI recommendation + NFRA examination</b> . AS / Ind AS (Ind AS mandatory for listed + net worth ≥ ₹250 cr). Legal force from CG notification                                                                                                                                                                                                                                                                                                                       |
| 134     | Board report + signing + DRS + IFC | Approve → <b>authenticate</b> (Chairperson if authorised OR <b>2 directors incl. MD</b> + CEO-if-director + CFO + CS; OPC: 1 director) → auditor reports → issue. Board's Report: 134(3) list + Board's comments on auditor qualifications + AOC-2 (related party) + CSR report. <b>DRS 6 points</b> (IFC-effectiveness clause = <b>listed only</b> ). Penalty: company ₹3,00,000; officer ₹50,000 (monetary, no jail)                                                                   |
| 135     | CSR                                | Triggers (any one, preceding FY): <b>net worth ≥ ₹500 cr / turnover ≥ ₹1,000 cr / net profit ≥ ₹5 cr</b> . Spend <b>≥ 2% of avg net profit (S.198) of last 3 FYs</b> ; local-area preference. Committee: <b>3+ directors, ≥1 independent</b> (waived if spend ≤ ₹50 lakh → Board acts). Cessation if below all thresholds <b>3 consecutive FYs</b> . Admin overheads cap ~5%                                                                                                             |

| Section    | Rule            | Limit / detail                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
|------------|-----------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 135(5)/(6) | Unspent CSR     | <b>Ongoing project</b> (multi-year, ≤3 yrs excl. commencement year): transfer to <b>Unspent CSR Account</b> within <b>30 days</b> of FY-end; spend within <b>3 FYs</b> , else Schedule VII within 30 days of year-3 end. <b>Non-ongoing</b> : transfer to <b>Schedule VII fund within 6 months</b> . Excess spend set off next <b>3 FYs</b> (Board resolution)                                                                                                                |
| 135(7)     | CSR penalty     | Company: <b>2× unspent or ₹1 cr (whichever less)</b> ; officer: <b>1/10 unspent or ₹2 lakh (whichever less)</b> . Civil penalty                                                                                                                                                                                                                                                                                                                                               |
| 136        | Members' copies | Send statements ≥ <b>21 clear days before AGM</b> (shorter if 95% consent); listed co may send salient features (AOC-3) + website                                                                                                                                                                                                                                                                                                                                             |
| 137        | Filing with ROC | <b>AOC-4 within 30 days of AGM</b> ; if AGM not held → within 30 days of last due date + reasons; <b>OPC: 180 days</b> from FY close. Penalty: company <b>₹10,000 + ₹100/day (max ₹2,00,000)</b> ; officer ₹10,000 + ₹100/day (max ₹50,000)                                                                                                                                                                                                                                   |
| 138        | Internal audit  | Auditor = CA/CMA/other professional, <b>may be employee</b> ; Board scopes. Rule 13: <b>every listed co; unlisted public</b> if paid-up ≥ ₹50 cr OR turnover ≥ ₹200 cr OR borrowings > ₹100 cr OR deposits ≥ ₹25 cr; <b>private</b> if turnover ≥ ₹200 cr OR borrowings > ₹100 cr (only 2 metrics)                                                                                                                                                                            |
| 132        | NFRA            | Independent regulator ("auditor's auditor"). Recommend/enforce standards; investigate CA misconduct for prescribed cos (civil-court powers). <b>Once NFRA initiates, ICAI cannot proceed</b> on same matter. Penalty: individual <b>₹1 lakh–5× fees</b> ; firm <b>₹5 lakh–10× fees; debar 6 months–10 years</b> . Rule 3: listed / unlisted public (paid-up ≥ ₹500 cr OR turnover ≥ ₹1,000 cr OR loans+debentures+deposits ≥ ₹500 cr) / banks/insurers/power. Appeal to NCLAT |

### Three audits distinguished

|              | Internal (138)               | Statutory (139–143) | Cost (148)                     |
|--------------|------------------------------|---------------------|--------------------------------|
| Serves       | Management/Board             | Members             | CG                             |
| Appointed by | Board                        | Members (AGM)       | Board                          |
| Who          | CA/CMA/professional/employee | practising CA only  | practising Cost Accountant     |
| Frequency    | ongoing                      | annual              | annual (prescribed industries) |

### Exam traps & must-remember

- 7 days** ROC notice if books kept elsewhere (≠ 30-day AOC-4 filing).
- 8 years** retention (not 7/10); longer if investigation; all years if younger.
- CSR trigger = any ONE** (500/1000/5), preceding FY; **2% of avg last-3-years** profit (not current year).
- Ongoing → 30 days → Unspent CSR A/c (3 yrs); non-ongoing → 6 months → Schedule VII**. Most-tested CSR point.
- Cash Flow exempt** for OPC/small/dormant/start-up.
- CFS covers associates & JVs**, not just subsidiaries.
- NFRA vs ICAI**: once NFRA initiates on a Rule-3 company, ICAI stands down; NFRA doesn't cover small/private (ICAI retains).
- Internal audit ≠ statutory audit**: internal auditor may be an employee/CMA; **private co tested only on turnover ₹200 cr & borrowings > ₹100 cr** (not paid-up/deposits).
- "Approved by Board" ≠ authenticated/signed** (need 2 directors incl. MD + CEO/CFO/CS); auditor reports AFTER authentication.
- CSR now "comply or transfer and explain"** with civil penalty (not "no penalty").
- Normal-course-of-business activities are NOT CSR** (nor political contributions, employee benefits, outside-India except sports training, marketing sponsorships).
- "True and fair," not "true and correct."**
- IFC-effectiveness clause in DRS = listed only**; separate from auditor's 143(3)(i) IFC report.
- Director's inspection right (128), not member's.**
- NFRA penalties: individual 5×, firm 10×; debar 6 months–10 years.**

16. **137 = per-day civil penalty** (₹10,000 + ₹100/day, capped); late filing decriminalised, unlike false books (128 keeps jail).

### One-line recall

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- Capture (128 books, 8 yrs, accrual+double-entry) → present true & fair (129/133) → consolidate group (129(3) CFS + AOC-1) → own & sign (134 DRS + IFC) → give back (135 CSR 2%) → members (136, 21 days) → public file (137 AOC-4, 30 days) → NFRA polices (132).
- CSR triggers **500cr/1000cr/5cr** (any one) → spend **2%** avg-3-yr profit; unspent ongoing → 30 days/3 yrs; non-ongoing → 6 months Schedule VII; penalty 2× or ₹1 cr.
- Internal audit thresholds differ by class; private co only turnover ₹200 cr / borrowings >₹100 cr.
- NFRA overrides ICAI for large/listed once it initiates; penalty up to 5×/10× fees + debar 6 mo–10 yrs.
- Jail survives for dishonesty (128/129); procedural defaults (134/135/137) decriminalised to money.

## Audit & Auditors — CA Inter Revision Note

Companies Act 2013, Chapter X, Sections 139–148 + Companies (Audit & Auditors) Rules, 2014.

### Snapshot

- Solves the **agency gap**: owners fund, managers spend and write their own report card. Auditor = independent expert appointed **by owners**, reporting **to owners**, whom management **cannot silence**.
- **"True and fair"**, not "true and correct" — auditor gives an **opinion, not a guarantee**; watchdog, not bloodhound (*Kingston Cotton Mill*).
- Section spine: **139 hire · 140 fire · 141 who's fit · 142 pay · 143 do the job · 144 don't moonlight · 145 sign · 146 attend · 147 punish · 148 cost**.
- Four capture routes blocked: **Selection** (139/141) · **Money** (142/141(3)/144) · **Tenure/familiarity** (139(2)) · **Termination** (140).
- Five independence threats: self-interest · self-review · advocacy · familiarity · intimidation.

### Core concepts

- **Eligibility (141(1)/(2))**: only a **CA** (or firm/LLP where majority of partners practising in India are CAs); only CA partner signs.
- **Rotation (139(2))**: individual **1×5 yrs**; firm **2×5 yrs**; then **5-yr cooling-off**; no common-partner/same-network swap; past service counted (look-back). Applies to listed + unlisted public (paid-up ≥ ₹10 cr) + private (paid-up ≥ ₹50 cr) + any co with public borrowings/deposits ≥ ₹50 cr. **OPC & small companies exempt**.
- **Four exits**: removed before term (140(1): Board res → CG/ADT-2 → special res); resigns (140(2): ADT-3, 30 days, reasons); not re-appointed at term end (140(4): special notice + representation + ordinary res); ejected for fraud (140(5): Tribunal + 5-yr debar + S.447).
- **Fraud reporting (143(12))**: on **reason to believe fraud against company by officers/employees**; ≥ ₹1 cr → CG (ADT-4, Board 45-day reply + 15 days); < ₹1 cr → Board/AC in 2 days + Board's Report.

### Key provisions / sections

| Section    | Rule                       | Limit / detail                                                                                                                                                                          |
|------------|----------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 139(6)     | First auditor (non-Govt)   | <b>Board within 30 days</b> of registration; if fails, members at EGM within <b>90 days</b> (from incorporation); holds till 1st AGM                                                    |
| 139(7)     | First auditor (Govt)       | <b>C&amp;AG within 60 days</b> ; then Board 30 days; then members 60 days                                                                                                               |
| 139(1)     | Subsequent (non-Govt)      | Members at AGM, <b>5-year block</b> (till 6th AGM); consent + eligibility certificate; company files <b>ADT-1 within 15 days</b> . <b>Ratification abolished</b> (w.e.f. 7 May 2018)    |
| 139(5)     | Subsequent (Govt)          | <b>C&amp;AG within 180 days</b> of FY start, every year; no 5-yr block, no rotation                                                                                                     |
| 139(8)     | Casual vacancy             | Resignation → Board 30 days + <b>members approve within 3 months</b> ; other cause (death/disqualification) → Board 30 days; Govt → C&AG 30 days                                        |
| 139(2)     | Rotation                   | 1×5 (individual), 2×5 (firm), cool off 5 yrs; OPC/small exempt                                                                                                                          |
| 140(1)     | Removal before term        | Board resolution → <b>CG (ADT-2) within 30 days</b> → <b>special resolution</b> within 60 days of CG approval → hearing. Sequence fixed                                                 |
| 140(2)/(3) | Resignation                | <b>Auditor files ADT-3 within 30 days</b> with reasons; penalty ₹50,000 or remuneration (lower) + ₹500/day                                                                              |
| 140(4)     | Non-reappointment          | Special notice → copy to retiring auditor → written representation circulated/read out → <b>ordinary resolution</b> (NO CG, NO special res); Tribunal may bar defamatory representation |
| 140(5)     | Tribunal removal for fraud | NCLT directs change; <b>5-yr debar</b> + S.447; interim CG appointment                                                                                                                  |

| Section    | Rule                | Limit / detail                                                                                                                                                                                                                                                                                                                                                                                     |
|------------|---------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 141(3)     | Disqualifications   | Body corporate (except LLP); officer/employee; partner/employee of officer; holds security/interest (relative cushion <b>₹1 lakh face value</b> , 60-day cure); indebted > <b>₹5 lakh</b> ; guarantee > <b>₹1 lakh</b> ; business relationship; relative is director/KMP; full-time employed elsewhere or auditor of > <b>20 companies</b> ; convicted of fraud (< 10 yrs); renders S.144 services |
| 141(4)     | Vacation            | Disqualification after appointment → vacate immediately (casual vacancy)                                                                                                                                                                                                                                                                                                                           |
| 142        | Remuneration        | General meeting (or as it determines); <b>first auditor by Board</b> ; excludes fees for other services                                                                                                                                                                                                                                                                                            |
| 143(1)     | Powers              | <b>Access at all times</b> to books/vouchers incl. subsidiaries/associates; require info & explanation                                                                                                                                                                                                                                                                                             |
| 143(2)/(3) | Report              | To <b>members</b> ; true & fair; proper books; agreement with books; AS compliance; director disqualification (164(2)); IFC adequacy; Rule 11 disclosures                                                                                                                                                                                                                                          |
| 143(8)     | Branch audit        | Company's auditor or branch auditor; foreign branch by locally-qualified person; branch auditor reports to principal auditor (who retains judgement)                                                                                                                                                                                                                                               |
| 143(12)    | Fraud reporting     | ≥ ₹1 cr → CG via ADT-4 (45+15 days); < ₹1 cr → Board/AC in 2 days + Board's Report; 143(15) penalty listed ₹5 lakh / others ₹1 lakh; good-faith protection                                                                                                                                                                                                                                         |
| 144        | Prohibited services | Directly/indirectly to co/holding/subsidiary: <b>A-I-D-A-I-I-O-M</b> = Accounting, Internal audit, Design of FIS, Actuarial, Investment advisory, Investment banking, Outsourced financial, Management. Tax rep/statutory certification allowed                                                                                                                                                    |
| 145        | Signing             | Only appointed auditor/authorised partner signs; qualifications read in GM                                                                                                                                                                                                                                                                                                                         |
| 146        | Attend meetings     | Right to notice + attend GM + be heard                                                                                                                                                                                                                                                                                                                                                             |
| 147        | Liability           | Co: fine ₹25,000–₹5,00,000, officers ₹10,000–₹1,00,000. Auditor: ₹25,000–₹5,00,000 or 4× remuneration (lower); wilful deceit → <b>jail up to 1 yr + ₹50,000–₹25,00,000 (or 8× remuneration)</b> ; refund fee + damages (147(3)); firm + connived partner joint & several                                                                                                                           |
| 148        | Cost audit          | Cost records for prescribed industries; <b>Cost Accountant</b> (not CA); <b>appointed by Board</b> (remuneration ratified by members); statutory auditor cannot be cost auditor; S.143 applies; forms <b>CRA-1</b> (records) / <b>CRA-2</b> (appoint) / <b>CRA-3</b> (report to Board) / <b>CRA-4</b> (file with CG, 30 days)                                                                      |
| 132        | NFRA                | Disciplines auditors of large/listed; debar <b>6 months–10 years</b> ; ousts ICAI jurisdiction once it initiates                                                                                                                                                                                                                                                                                   |

**Forms:** ADT-1 (company files appointment, 15 days) · ADT-2 (removal to CG) · ADT-3 (auditor files resignation, 30 days) · ADT-4 (fraud ≥ ₹1 cr to CG).

### Exam traps & must-remember

1. **Ratification abolished** (7 May 2018) — don't require annual ratification.
2. **Face value, not market value** for the ₹1 lakh relative-securities limit.
3. **Auditor/partner have NO ₹1 lakh cushion** — any security disqualifies; cushion is for a **relative** only.
4. **Direction of debt:** indebtedness (> ₹5 lakh) = auditor **owes** company (company owing auditor ≠ this disqualification).
5. **Individual 1×5, firm 2×5, cool off 5**; past service counts; no common-partner/network swap.
6. **Who appoints:** financial auditor → members; first auditor → Board (30 days); Govt → C&AG; cost auditor → Board. Casual vacancy by resignation needs members' approval (3 months); other cause → Board alone.
7. **Removal (140(1): CG + special res) vs non-reappointment (140(4): special notice + ordinary res, no CG)** — most-swapped point.
8. **Removal sequence:** Board res → CG (ADT-2) → special res (never before CG approval).
9. **Fraud thresholds:** ₹1 cr line; ≥ → ADT-4 to CG (45+15); < → Board/AC in 2 days + Board's Report.
10. **143(12) triggers on fraud "against the company by officers/employees"**, on "reason to believe" (not proof).
11. **Body corporate can't audit — except LLP.**
12. **S.144 "directly or indirectly"** catches relatives/network/affiliate; but **tax rep/statutory certification allowed**.
13. **Govt company = ≥ 51% holding**; 49% is not (C&AG doesn't appoint).
14. **Cost auditor = Cost Accountant, Board-appointed**; statutory auditor cannot double as cost auditor.
15. **20-company ceiling** excludes OPC/dormant/small/private (paid-up < ₹100 cr); 20 per partner for a firm.
16. **Disclaimer = lack of evidence; adverse = material & pervasive error** — don't swap.

17. **Access "at all times"** — no permission needed.
18. **Company files ADT-1; auditor files ADT-3** — don't mix.
19. **NFRA ousts ICAI** for matters within its remit.

### One-line recall

---

- Auditor appointed by/reports to owners; competent (CA, 141) + independent (141(3)/144/139(2) rotation) + un-fireable (140).
- Timeline: first auditor **30/90 days**; subsequent **5-yr block (till 6th AGM)**; Govt C&AG **60/180 days**; ADT-1 in **15 days**.
- Money hook "**1-5-1**": relative securities ₹1 lakh (face), indebtedness ₹5 lakh, guarantee ₹1 lakh; ceiling **20** companies.
- Four exits: removed (140(1) CG+SR), resigns (140(2) ADT-3), not re-appointed (140(4) special notice+ordinary res), fraud ejection (140(5) Tribunal+5-yr bar).
- Fraud report ≥ ₹1 cr → CG (ADT-4, 45+15 days); < ₹1 cr → Board/AC 2 days + report.
- S.144 ban = **A-I-D-A-I-I-O-M**; cost audit = Cost Accountant, Board-appointed, CRA-1/2/3/4.

# The Limited Liability Partnership Act, 2008

## Snapshot

LLP = a **hybrid**: outside it behaves like a **company** (body corporate, separate legal entity, perpetual succession, limited liability); inside it behaves like a **partnership** (private LLP Agreement, no compulsory board/AGM). Mental model: "a partnership wearing a company's skin." In force largely from 31 March 2009 (LLP Rules 2009). Built for professionals first. **An LLP is a body corporate but NOT a company** (every company is a body corporate; not every body corporate is a company).

## Core concepts

- **Shield**: each partner's liability limited to agreed contribution; **one partner is NOT liable for another partner's wrongful act** (deletes the 1932 mutual-agency trap). "Your own sin, your own skin."
- **Partner is agent of the LLP, not of other partners** (S.26) — makes S.28 no-cross-liability coherent.
- **First Schedule** fills gaps **matter-by-matter** (only where the LLP Agreement is silent on that specific point).
- **Designated Partners** = the accountable human interface to the Registrar (price of the shield).
- Five doors through the shield: own wrongful act (S.28) · fraud with intent (S.30) · solo beyond 6 months (S.6) · personal guarantee (outside the Act) · unpaid agreed contribution (S.32-33).

## Key provisions / sections

| Section | Rule                                                                                                                                                                                                                                                                                                                          |
|---------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| S.2     | Definitions. <i>Business</i> includes profession. <i>Body corporate</i> excludes co-operative society & corporation sole. Foreign LLP = incorporated outside India + <b>establishes place of business in India</b> .                                                                                                          |
| S.3     | LLP is a <b>body corporate</b> , separate legal entity, <b>perpetual succession</b> .                                                                                                                                                                                                                                         |
| S.4     | <b>Indian Partnership Act 1932 does NOT apply</b> to an LLP.                                                                                                                                                                                                                                                                  |
| S.5     | Partner = any individual or body corporate. Disqualified individual: unsound mind (finding in force), <b>undischarged</b> insolvent, or pending insolvency application. <b>No minor</b> (unlike 1932 benefits route).                                                                                                         |
| S.6     | <b>Min 2 partners; NO maximum</b> . Below 2 for > 6 months + sole partner <b>knows</b> + business carried on → sole partner <b>personally liable (jointly with LLP)</b> for obligations of that excess period only.                                                                                                           |
| S.7     | <b>Min 2 Designated Partners, both individuals, ≥ 1 resident in India</b> (resident = stayed ≥ <b>120 days</b> in FY; amended down from 182 — <i>confirm</i> ). Each needs <b>DPIN</b> + prior consent. If <2 DPs, <b>every partner deemed a DP</b> . Body corporate can be partner but not DP (acts via nominee individual). |
| S.11    | Incorporation document filed with Registrar; " <b>with a view to profit</b> " (no charitable LLP); two-signature statement of compliance (professional advocate/CA/CS/CMA + a subscriber).                                                                                                                                    |
| S.12    | Registrar registers within <b>14 days</b> ; <b>Certificate of Incorporation = conclusive evidence</b> .                                                                                                                                                                                                                       |
| S.13    | Registered office; service of documents.                                                                                                                                                                                                                                                                                      |
| S.14    | Powers: sue/be sued, own & dispose property; <b>common seal OPTIONAL</b> .                                                                                                                                                                                                                                                    |
| S.15-17 | Name must end with " <b>LLP</b> " / " <b>Limited Liability Partnership</b> "; not undesirable/identical; reservation & CG-directed change.                                                                                                                                                                                    |
| S.21    | Name, registered-office address & registration number on invoices/correspondence.                                                                                                                                                                                                                                             |
| S.22-23 | LLP Agreement governs mutual rights; filed in <b>Form 3</b> ; <b>First Schedule</b> fills silence matter-by-matter.                                                                                                                                                                                                           |
| S.24    | Cessation: per agreement, or <b>30 days' written notice</b> , or death/dissolution/unsound mind/insolvency. Ex-partner's interest → <b>financial claim</b> (contribution + accumulated profits); <b>still a "partner" to third parties until notice to them OR to Registrar</b> .                                             |
| S.25    | File change of partners within <b>30 days</b> (Form 4).                                                                                                                                                                                                                                                                       |
| S.26    | Partner is agent of <b>LLP</b> , not of other partners.                                                                                                                                                                                                                                                                       |
| S.27    | LLP liabilities met from <b>LLP property</b> . "Not bound" is a <b>two-limb cumulative test</b> : (a) partner had no authority AND (b) outsider knew of no authority or didn't believe him a partner.                                                                                                                         |
| S.28    | Partner not personally liable <b>solely by reason of being a partner</b> ; not liable for another's wrong; <b>liable for own wrong</b> .                                                                                                                                                                                      |

| Section | Rule                                                                                                                                                                                                                                                                                                                                                                               |
|---------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| S.30    | <b>Fraud with INTENT to defraud → UNLIMITED liability</b> for LLP + participating partners + penalties. Innocent partner shielded. Mere negligence/recklessness ≠ fraud.                                                                                                                                                                                                           |
| S.31    | Whistle-blower protection.                                                                                                                                                                                                                                                                                                                                                         |
| S.32-33 | Contribution = tangible/intangible incl. money, property, <b>services (sweat equity)</b> . Agreed contribution enforceable; a <b>creditor who relied on the original figure</b> can enforce it despite later reduction. No minimum capital ( <i>confirm</i> ).                                                                                                                     |
| S.34    | Books; <b>Statement of Account &amp; Solvency (Form 8) within 6 months</b> of FY-end; audit needed only if <b>turnover &gt; ₹40 lakh OR contribution &gt; ₹25 lakh</b> (disjunctive; <i>confirm</i> ). FY ends 31 March.                                                                                                                                                           |
| S.35    | <b>Annual Return (Form 11) within 60 days</b> of FY close.                                                                                                                                                                                                                                                                                                                         |
| S.55-57 | Conversion <b>INTO</b> LLP: Firm (S.55/Sch 2), Private company (S.56/Sch 3), <b>Unlisted</b> public company (S.57/Sch 4). All partners/shareholders (and no one else) become partners; no subsisting charge; assets & liabilities <b>vest automatically</b> ; old entity deemed dissolved; conversion disclosed on correspondence (commonly 60 days). Old debts follow the assets. |
| S.58-59 | Registrar's certificate conclusive; Foreign LLPs.                                                                                                                                                                                                                                                                                                                                  |
| S.60-62 | Compromise/arrangement/amalgamation (Tribunal).                                                                                                                                                                                                                                                                                                                                    |
| S.63-65 | Winding up voluntary or by <b>Tribunal (NCLT)</b> . Tribunal grounds incl.: below 2 partners > <b>6 months</b> ; inability to pay debts; acts against sovereignty; <b>default in filing S.34/35 for 5 consecutive FYs</b> ; just & equitable.                                                                                                                                      |

### Exam traps & must-remember

- Partnership Act 1932 does **NOT** govern LLPs (S.4).
- Min **2** partners, **no max**; min **2** DPs, both individuals, **≥1 resident (120 days, not 182 — confirm)**.
- Below 2 partners = **6-month grace**, then only the **knowing sole partner** is liable (also a winding-up ground after 6 months).
- A partner is **NOT** liable for a co-partner's wrong (S.28) — but **is** liable for his **own** wrong; **fraud (intent)** → unlimited (S.30).
- Silence → First Schedule: **equal profit share, NO remuneration**, unanimous consent for new partner/change of business nature; ordinary matters by majority (one vote each).
- Common seal OPTIONAL** (S.14). Certificate of Incorporation **conclusive** (S.12).
- Two filings, two deadlines: **Annual Return Form 11 = 60 days; Statement of Account & Solvency Form 8 = 6 months** ("structure quick, accounts need closing"). Don't swap.
- Body corporate can be **partner** but not **DP** (nominee acts).
- Audit test is **OR** (turnover > ₹40 lakh **or** contribution > ₹25 lakh), not AND.
- No LLP → company** conversion route under this Act (only firm/company → LLP).
- LLP cannot be for **charitable/not-for-profit** object (needs "view to profit"); only **unlisted** public company can convert.
- Liability capped at **contribution, not zero** — unpaid agreed contribution recoverable; personal guarantee enforceable outside the shield.
- Cessation binds outsiders only after **notice to them or the Registrar**; minor cannot be an LLP partner.

### One-line recall

- "A partnership wearing a company's skin" — freedom inside (S.23), shield outside (S.3, S.28).
- "Your own sin, your own skin" — own wrong reaches you; fraud (intent) kills the shield entirely (S.30).
- "Silence speaks the First Schedule" — equal shares, no salary, unanimous new partners.
- "2 DPs, 1 in India, both individuals" (S.7); deemed-DP safety net if they lapse.
- Five doors through the shield: own wrong · fraud · solo > 6 months · guarantee · unpaid contribution.
- Form 11 = 60 days; Form 8 = 6 months; convert only **INTO** an LLP.



# The General Clauses Act, 1897

## Snapshot

The "law about laws" — Central Act No. 10 of 1897, ~30 sections. A **meta-statute** supplying default meanings + interpretation rules for **every Central Act, Regulation and Ordinance**. Two things bundled: a **default dictionary** (S.3) and a **default rulebook** (Ss.5-30). Governing phrase: **"unless there is anything repugnant in the subject or context" / "unless a different intention appears"** → it is a **fallback, not a dictator**. Statutory embodiment of *generalia specialibus non derogant* (special beats general): **check the parent Act first; fall back to GCA only on silence**. An **aid to interpretation**, not a substantive law; NOT a code of interpretation (literal/golden/mischief live elsewhere).

## Core concepts

- Applies only to **Central Acts/Regulations** (+ Ordinances via S.30). States have their own General Clauses Acts.
- S.3 definitions apply to the GCA + all Central Acts **made after 1897**; S.4 extends a **subset** to earlier Acts.
- **"includes" = extending/open** (adds to ordinary meaning); **"means" = exhaustive/closed**.
- **Repeal changes the future, not the finished past** (S.6 five survivors).

## Key provisions / sections

| Section                     | Rule                                                                                                                                                                                                                                                                                                                                                                                                           |
|-----------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| S.3(21) Financial Year      | Year commencing <b>1 April</b> (Companies Act <b>S.2(41)</b> overrides for company law).                                                                                                                                                                                                                                                                                                                       |
| S.3(22) Good Faith          | Done <b>honestly, whether negligently or not</b> (contrast <b>IPC</b> = due care & attention).                                                                                                                                                                                                                                                                                                                 |
| S.3(23) Government          | Includes <b>both Central and State</b> .                                                                                                                                                                                                                                                                                                                                                                       |
| S.3(26) Immovable Property  | Includes land, benefits arising out of land, things attached to earth.                                                                                                                                                                                                                                                                                                                                         |
| S.3(35) Month               | <b>British/Gregorian calendar</b> month (NOT 30 days).                                                                                                                                                                                                                                                                                                                                                         |
| S.3(36) Movable Property    | Everything <b>except</b> immovable property ("means" = exhaustive).                                                                                                                                                                                                                                                                                                                                            |
| S.3(38) Offence             | Any <b>act or omission</b> punishable by law in force.                                                                                                                                                                                                                                                                                                                                                         |
| S.3(42) Person              | <b>Includes company, association, body of individuals</b> , incorporated or not.                                                                                                                                                                                                                                                                                                                               |
| S.3(66) Year                | British calendar (1 Jan-31 Dec).                                                                                                                                                                                                                                                                                                                                                                               |
| S.5 Commencement            | If Act silent, in force on day of <b>assent</b> ; effective from <b>start of that day</b> (preceding midnight). Fallback only for silence — a named/to-be-notified date displaces it.                                                                                                                                                                                                                          |
| <b>S.6 Effect of repeal</b> | Unless different intention appears, repeal does NOT: <b>(a)</b> revive anything not in force; <b>(b)</b> affect previous operation / things duly done; <b>(c)</b> affect right/privilege/obligation/liability <b>acquired, accrued or incurred</b> ; <b>(d)</b> affect penalty/forfeiture/punishment incurred; <b>(e)</b> affect investigation/proceeding/remedy — may be <b>continued</b> as if not repealed. |
| S.6A                        | Repeal of an Act that merely <b>amended</b> another → amendment already made <b>stays</b> .                                                                                                                                                                                                                                                                                                                    |
| S.7                         | <b>Revival</b> of a repealed enactment must be <b>expressly</b> stated.                                                                                                                                                                                                                                                                                                                                        |
| S.8                         | Reference to repealed & re-enacted provision → read as the <b>corresponding</b> new provision (needs a corresponding provision).                                                                                                                                                                                                                                                                               |
| S.9 "from/to"               | <b>"from" EXCLUDES</b> the first day; <b>"to" INCLUDES</b> the last day. ("From = First out, To = Terminal in.")                                                                                                                                                                                                                                                                                               |
| S.10                        | Act in a <b>court/office</b> due on a day/last day that is <b>closed</b> → in time if done on <b>next open day</b> . <b>Proviso: does NOT apply to Limitation Act, 1963</b> matters (its own S.4). Only <b>last-day</b> closure counts (mid-period holiday = no extension).                                                                                                                                    |
| S.13                        | Masculine <b>includes feminine</b> ; singular <b>includes plural</b> (and vice versa).                                                                                                                                                                                                                                                                                                                         |
| S.14                        | Powers exercisable <b>from time to time</b> (not exhausted by one use).                                                                                                                                                                                                                                                                                                                                        |

| Section | Rule                                                                                                                                                                                               |
|---------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| S.15    | Appointment by <b>naming a person or designating the office</b> .                                                                                                                                  |
| S.16    | Power to appoint <b>includes power to suspend or dismiss</b> .                                                                                                                                     |
| S.21    | Power to make notifications/orders/rules/bye-laws <b>includes power to add/amend/vary/rescind</b> (same procedure). Not for quasi-judicial orders.                                                 |
| S.22    | Rules may be made <b>before commencement</b> (effective on commencement).                                                                                                                          |
| S.24    | Rules/orders/notifications under repealed law <b>continue</b> under re-enacted law, <b>so far as consistent, until superseded</b> .                                                                |
| S.25    | CrPC fine-recovery machinery applies to fines.                                                                                                                                                     |
| S.26    | Act an offence under <b>two+ enactments</b> → prosecute under <b>either/any</b> , but <b>NOT punished twice</b> for the <b>same offence</b> (same act + same ingredients). Mirrors Art. 20(2).     |
| S.27    | Service "by post" deemed effected by <b>correct addressing + pre-paying + registered posting</b> (all three); time = ordinary course of post, <b>rebuttable</b> ("unless the contrary is proved"). |
| S.30    | GCA applies to <b>Ordinances</b> (Arts 123/213).                                                                                                                                                   |

### Exam traps & must-remember

1. **Financial year:** GCA = 1 April; **Companies Act S.2(41) overrides** — special beats general.
2. **Good faith:** GCA = honesty (negligence irrelevant); **IPC = due care**. Answer depends on which Act governs.
3. **S.9:** "from" excludes first day; "to" includes last day. One-day error flips the answer.
4. **S.10 does NOT apply to Limitation Act 1963** matters; only **last-day** closure extends (not mid-period).
5. **"Month" = calendar month, not 30 days**. In a **non-leap February** this can pull a deadline *earlier*; where corresponding date doesn't exist, period ends on last day of that month.
6. **S.6 = default** ("unless different intention"); repealing Act may switch survivors off. Never state S.6 as absolute.
7. **Accrued right vs mere hope (6(c)):** only a right **perfected before** repeal survives; a pending application (still forming) can be extinguished.
8. **Repeal vs expiry:** S.6 saves on **repeal**; a temporary Act that **expires by efflux of time** is not "repealed" — check its own saving clause.
9. **S.26:** may be **prosecuted** under multiple laws, **not punished twice** — and only for the **same offence** (same act + same ingredients).
10. **S.27:** time-of-service presumption is **rebuttable, not conclusive**; needs **registered** post + correct address + pre-payment (all three); bare denial usually insufficient.
11. GCA governs **Central** Acts/Regulations/Ordinances only — not State laws.
12. **"includes" (open) vs "means" (closed)** — getting it backwards flips coverage.
13. **S.5 fallback only for silence** — "on such date as CG may notify" = dormant until notified (common Companies Act pattern; staggered commencement valid).
14. **S.21** does not let an authority reopen a **quasi-judicial** order.

### One-line recall

- GCA = **Dictionary + Rulebook**, both **default only** ("unless a different intention appears") — special beats general.
- **S.6 five survivors:** "No zombies · Past stands · Rights kept · Penalties due · Cases go on."
- **S.9:** "From = First out, To = Terminal in"; **month = calendar month**, not 30 days.
- **S.10:** office closed on last day → next open day (NOT for Limitation Act).
- **Living-power block (14/16/21):** make it & amend it; hire & fire; use it again — powers don't die on first use.
- **S.26** bars double *punishment* not double *prosecution*; **S.27** = Address + Pre-pay + Registered post = served (time rebuttable).

# Interpretation of Statutes

## Snapshot

Purpose: find the **intention of the legislature**, gathered **primarily from the language actually used** (the "golden thread"). Words are frozen; life is fluid — interpretation is a *disciplined toolbox for reading* that **rationes judicial discretion**: start with the plain word (judge justifies nothing); escalate to purpose only by **proving** absurdity or defeated object. Courts seek **objective** intention (reasonable reader), not **subjective** (what members privately thought). "Vehicle in the park" hook: every rule answers some version of the pram/ambulance/tank problem.

## Core concepts

- **Interpretation** = meaning of the words used (narrower, first step). **Construction** = legal effect in situations words don't squarely cover (broader inference).
- **Hierarchy of trust**: Literal → (if absurd) Golden → (if remedial/mischief) Mischief/purposive → (if clash) Harmonious.
- Doubt generators: **ambiguous, over-inclusive, under-inclusive, silent (casus omissus)**.
- **Beneficial vs strict** = a *lean/tone* that only **breaks a tie**, not a fifth rule. If words are plain, even a welfare Act is read literally and a penal Act bites.
- Inside before Outside: internal aids first, then external — but **no aid overrides plain enacting words**.

## Key provisions / rules

| Rule                                 | Fires when                                                                              | Do                                                                                                                                                                                                                    |
|--------------------------------------|-----------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Literal / Grammatical</b>         | Words plain & unambiguous                                                               | Ordinary grammatical meaning <b>in context</b> ; don't add/subtract ( <b>casus omissus</b> — court can't fill gaps; <b>ut res magis valeat quam pereat</b> ; <b>a verbis legis non est recedendum</b> ).              |
| <b>Golden</b>                        | Literal gives <b>absurdity/repugnance/inconsistency</b> (NOT mere harshness/unfairness) | Modify <b>minimally</b> to escape absurdity. Narrow (pick non-absurd meaning) vs Wider (strain even a single meaning). Threshold: result no reasonable legislature could intend.                                      |
| <b>Mischief (Heydon's Case 1584)</b> | Remedial/welfare Act; literal misses the evil                                           | 4 Qs: (1) law before; (2) mischief/defect; (3) remedy appointed; (4) true reason → <b>suppress mischief, advance remedy</b> . Modern form = <b>purposive construction</b> (but don't rewrite a tax charging section). |
| <b>Harmonious</b>                    | Two provisions conflict                                                                 | Read as a whole; <b>reconcile, give effect to both</b> ; avoid rendering either a dead letter; <b>special beats general</b> ( <i>generalia specialibus non derogant</i> ).                                            |

**Definition verbs**: *means* = exhaustive (sealed box) · *includes* = enlarging (open door) · *means and includes* = exhaustive + broad · *unless the context otherwise requires* = context overrides.

**Internal aids** (inside → cautious; ranking: enacting words > definition clause > proviso/explanation > long title/preamble > headings/marginal notes > punctuation):

| Aid                              | Effect                                                                                                                                                  |
|----------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------|
| Long title                       | Scope/object; can't override clear words.                                                                                                               |
| Short title                      | Label only — <b>no interpretive value</b> .                                                                                                             |
| Preamble                         | Object/"why"; aid on ambiguity; can't cut down clear enacting words.                                                                                    |
| Marginal notes/headings          | Generally <b>NOT</b> legitimate; only on ambiguity, with caution.                                                                                       |
| Definition clause                | <i>means/includes/means-and-includes</i> ; unless context otherwise requires.                                                                           |
| <b>Proviso</b> ("Provided that") | <b>Carves an EXCEPTION out of its own section — subtracts, never enlarges</b> , doesn't travel to other sections. Not a substantive enacting provision. |

| Aid                                                  | Effect                                                                                                      |
|------------------------------------------------------|-------------------------------------------------------------------------------------------------------------|
| Explanation                                          | Clarifies/removes doubt; doesn't widen or contradict.                                                       |
| Illustration                                         | Example; can't modify the section.                                                                          |
| Schedule                                             | Part of Act; enacting section prevails on conflict.                                                         |
| <b>Non-obstante clause</b><br>("notwithstanding...") | <b>Overrides only what it names</b> — "notwithstanding anything in this Act" does not override another Act. |
| Punctuation                                          | Minor aid.                                                                                                  |

**External aids:** dictionaries (statutory/context meaning prevails); historical background; Statement of Objects & Reasons / debates (→ **background/mischief only, NOT meaning of words**); committee/commission **reports** (→ mischief, trusted); statutes **in pari materia**; contemporanea expositio; usage/practice; foreign decisions (persuasive). **None** overrides plain words.

#### Key maxims:

- **Noscitur a sociis** — word known by its company (parent rule).
- **Ejusdem generis** — general words after specific words of a genus → limited to that genus. Conditions (all): specific enumeration; forms a **class/genus**; class **not exhausted**; general words follow; **no contrary intent**. (A special case of noscitur.)
- **Expressio unius est exclusio alterius** — express one, exclude others (**WEAK/unsafe** — omission may be oversight).
- **Expressum facit cessare tacitum** — express provision leaves no room for implied on same point.
- **Contemporanea expositio** — old statutes read as understood at enactment (**NOT modern Acts**).
- **Reddendo singula singulis** — match each subject to its object ("respectively" is the trigger).
- **Generalia specialibus non derogant** — special beats general.

**Presumptions** (rebuttable): prospective operation (esp. penal) — **but procedural/machinery laws are retrospective**, though not to **extinguish an already-accrued right**; **beneficial amendments may be retrospective**; against ousting court jurisdiction; constitutionality; **mens rea in crimes**; territorial (within India); same word same meaning; no surplusage/implied repeal; against absurdity/injustice.

**Tone: Penal & taxing = STRICT**, favour the subject ("no equity about a tax"; nothing read in / implied in a charging section) — a **tie-breaker only**, plain words still bite. **Welfare/remedial = LIBERAL**, favour the protected class. "Swords narrow, shields wide."

#### Exam traps & must-remember

1. Literal is the **starting default, not supreme**; yields to Golden on absurdity.
2. **means vs includes** swapped = automatic loss (sealed box vs open door).
3. **Ejusdem generis fails** if specifics form no genus / genus exhausted / contrary intent → general words get full width.
4. **Expressio unius is weak** — never mechanical.
5. Short title = label (no value); long title/preamble = aids but can't override clear words.
6. Marginal notes/headings generally not legitimate aids.
7. Distinguish **proviso (exception/subtracts) vs explanation (clarifies) vs illustration (example)**.
8. **Casus omissus** — court cannot fill a legislative gap.
9. **Strict = penal/tax (favour subject); liberal = welfare** — reversing = loss.
10. Retrospectivity: presumed **prospective**; **procedural = retrospective** but not to kill an accrued right; **beneficial amendment may be retrospective**.
11. Contemporanea expositio → **old Acts only**.
12. **No aid** (internal/external, debate or report) overrides plain unambiguous words.
13. **Proviso** neither adds a fresh power nor travels to other sections.
14. **Non-obstante clause** overrides only what it **names**.

15. **Golden Rule threshold = absurdity/repugnance, NOT mere unfairness** (Parliament may be harsh).
16. Minister's speech = background/mischief only, **not** meaning of the section; reports light up the *problem*, not the *meaning*.
17. Dictionary never beats the Act's own **defined** term or context.

### One-line recall

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- Golden thread: **intention of the legislature, primarily from the language used.**
- Ladder: **Literal → Golden (absurdity, not harshness) → Mischief/purposive (welfare) → Harmonious (special beats general).**
- **means = closed, includes = open**; proviso subtracts, non-obstante overrides only what it names.
- Inside aids before outside; **no aid defeats plain words**; debates = mischief only, reports = trusted.
- Maxims: noscitur (parent) → ejusdem generis (5 conditions) → expressio unius (weak) → reddendo ("respectively").
- Tone: **swords narrow (penal/tax, favour subject), shields wide (welfare)**; procedure is retrospective but can't kill an accrued right.

# Foreign Exchange Management Act, 1999 (Basics)

## Snapshot

FEMA replaced **FERA, 1973** after the 1991 liberalisation flipped the problem from **scarcity/control** to **adequacy/facilitation**. FERA (81 sections, criminal, "prohibited unless permitted," accused presumed guilty) → **FEMA (49 sections, 7 chapters, civil, "permitted unless restricted," presumption of innocence)**. In force **1 June 2000**; extends to **whole of India + branches/offices/agencies outside India owned or controlled by a resident** (extra-territorial by **control**, not soil). Object (Preamble): **facilitate external trade & payments; orderly development/maintenance of the forex market** (a purposive interpretive aid — ambiguity read towards facilitation). Twin levers: **who is the person** (residence decides *whether* FEMA bites) → **what is the transaction** (current/capital decides *how*).

## Core concepts

- **Accountant's test:** flow hits **P&L (income/expense) = current (default FREE)**; flow hits **Balance Sheet (creates/removes cross-border asset or liability) = capital (default REGULATED)**.
- **Mirror rule:** Current (S.5) = *free unless restricted* by **Central Government**; Capital (S.6) = *restricted unless permitted* by **RBI**.
- Breach = **civil contravention** → penalty → compounding; jail (civil imprisonment) only for **non-payment**.
- Residence is **binary** (2(v) or 2(w)); no "partly resident." **Residence, not citizenship**.

## Key provisions / sections

| Provision                          | Rule                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
|------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>2(v) Resident in India</b>      | Individual > <b>182 days in preceding FY</b> , BUT <b>purpose/intention overrides</b> : leaves for employment/business/uncertain-period abroad → non-resident immediately; comes to India to settle → resident from arrival (comes temporarily → not resident). Day-count is for <b>individuals only</b> . Also includes: <b>body incorporated in India (auto)</b> ; India-branch of a foreigner (by control); <b>abroad-branch of a resident</b> (by control). |
| <b>2(w) Resident outside India</b> | Anyone "not resident in India."                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| <b>2(u) Person</b>                 | Individual, HUF, company, firm, AOP/BOI, artificial juridical person, and any agency/office/branch of such person.                                                                                                                                                                                                                                                                                                                                              |
| <b>2(n) Foreign exchange</b>       | Foreign currency; incl. deposits/credits/balances payable in FC; instruments in rupees but <b>payable in FC</b> ; instruments drawn abroad but payable in rupees. Follow <b>currency of ultimate payment</b> , not the face.                                                                                                                                                                                                                                    |
| <b>2(o) Foreign security</b>       | FC-denominated securities + rupee securities where redemption/interest payable in FC.                                                                                                                                                                                                                                                                                                                                                                           |
| <b>2(h) Currency</b>               | Notes, coins, postal/money orders, cheques, drafts, TCs, LCs, bills, promissory notes, credit cards + others RBI notifies.                                                                                                                                                                                                                                                                                                                                      |
| <b>2(j) Current account txn</b>    | " <b>A transaction other than a capital account transaction</b> " + (illustrative) trade/services/ <b>short-term</b> banking & credit; <b>interest on loans &amp; net investment income</b> ; <b>living expenses of family abroad</b> ; <b>foreign travel/education/medical</b> of family. Capital-definition is the master key.                                                                                                                                |
| <b>2(e) Capital account txn</b>    | <b>Alters assets/liabilities (incl. contingent) outside India of residents, or in India of non-residents</b> . Symmetric (inbound + outbound). Includes S.6(3) classes.                                                                                                                                                                                                                                                                                         |
| <b>2(c) Authorised Person</b>      | Authorised dealer / money changer / off-shore banking unit / other, authorised by <b>RBI under S.10(1)</b> . Genus = AP; species = dealer/money changer/OBU.                                                                                                                                                                                                                                                                                                    |
| <b>S.3 General prohibition</b>     | No dealing/transfer of forex to non-AP; no payment to/for a non-resident " <b>in any manner</b> "; no receipt on behalf of a non-resident ( <b>catches hawala</b> ) — <b>except with RBI/AP permission</b> .                                                                                                                                                                                                                                                    |
| <b>S.5 Current account</b>         | Any person may sell/draw forex for a current transaction. <b>Proviso:</b> Central Govt may, in <b>public interest &amp; consulting RBI</b> , impose <b>reasonable restrictions</b> (Current Account Rules 2000).                                                                                                                                                                                                                                                |
| <b>S.6 Capital account</b>         | 6(1) forex for capital txn <b>only to the extent permitted</b> ; 6(2) RBI (with CG) specifies permissible <b>classes &amp; limits</b> (post-2015: CG rules for <b>debt</b> instruments, RBI for <b>non-debt</b> ); 6(3) <b>omitted by Finance Act 2015</b> ; 6(4) resident may hold/transfer foreign assets <b>acquired when non-resident or inherited from a non-resident</b> ; 6(5) symmetric for non-resident's Indian assets.                               |

| Provision                          | Rule                                                                                                                                                                                                                                                                                         |
|------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>S.7</b> Export                  | <b>Declare full export value</b> (or expected arm's-length value) + take <b>reasonable steps to realise &amp; repatriate</b> (anti-under-invoicing).                                                                                                                                         |
| <b>S.8</b> Repatriation            | Forex due/accrued to a resident → <b>reasonable steps</b> to realise & repatriate.                                                                                                                                                                                                           |
| <b>S.9</b> Exemptions              | Small holdings, permitted FC accounts, legacy/gift/inherited forex, earnings from services abroad — keeps the Act proportionate.                                                                                                                                                             |
| <b>S.10</b> Authorised Persons     | RBI <b>licenses</b> , conditions, <b>revokes</b> (after hearing). AP has <b>positive due-diligence duty</b> : require declaration, satisfy itself, <b>refuse &amp; report</b> suspected contravention.                                                                                       |
| <b>S.11</b>                        | RBI directs/inspects APs; penalties.                                                                                                                                                                                                                                                         |
| <b>S.13</b> Penalties              | <b>Up to 3× the sum</b> (quantifiable) or <b>up to ₹2,00,000</b> (non-quantifiable) + <b>up to ₹5,000/day</b> continuing. A <b>ceiling</b> ("up to"), authority may levy less. (13(1A)+ 2015: foreign-asset threshold breaches — higher penalty/confiscation/imprisonment; <i>confirm</i> .) |
| <b>S.14</b> Civil imprisonment     | If <b>penalty unpaid within 90 days</b> → civil imprisonment — for <b>non-payment, NOT the breach</b> ; duration scales with unpaid amount (slab around ₹1 crore; <i>verify</i> ).                                                                                                           |
| <b>S.15</b> Compounding            | Contravention <b>may be compounded</b> on application to RBI/ED; <b>within 180 days</b> ; then no further proceedings. Authority's <b>discretion</b> ; serious/PMLA-linked cases may be refused.                                                                                             |
| <b>S.16</b> Adjudicating Authority | CG officer <b>adjudicates</b> (not "prosecutes") after hearing.                                                                                                                                                                                                                              |
| <b>S.47</b>                        | RBI frames Regulations.                                                                                                                                                                                                                                                                      |
| Appeals                            | Adjudicating Authority → <b>Special Director (Appeals)</b> → <b>Appellate Tribunal</b> → <b>High Court (question of law only, within 60 days, +60 extendable)</b> . Tribunal may require <b>pre-deposit</b> . <b>Directorate of Enforcement</b> runs FEMA (civil) + PMLA (criminal).         |

**Current Account Rules 2000 schedules:** I = **prohibited** (lottery winnings/tickets, racing income, dividend-balancing); II = **prior Central Govt approval**; III = **RBI approval above a monetary limit** (below = free) — governed by **LRS**. Sequence: Sch I? → Sch II? → Sch III over limit? → else **FREE**. **LRS**: resident individual up to **USD 2,50,000 / FY** (*confirm*), covering **both** certain current **and** certain capital uses (the one shared door in the wall).

### Exam traps & must-remember

- Object = facilitation** (not "conserve/regulate" — that was FERA).
- Residence: > **182 days in preceding FY** + **purpose overrides**; do NOT import Income-tax **60/182 current-year** dual test.
- Citizenship ≠ residence**.
- Loan = capital**; **interest on it = current** (2(j)(ii)); **short-term** trade credit = current, **long-term** loan = capital.
- Current default is free but **NOT absolute** (Schedules I-III).
- Current → Central Govt**; **Capital → RBI** — don't swap; capital is *restricted unless permitted*.
- FEMA civil, but **S.14 civil imprisonment for non-payment within 90 days**.
- Penalty = **up to 3× / up to ₹2,00,000 / up to ₹5,000 per day** — a **ceiling**.
- Two clocks: compounding 180 days; penalty payment 90 days** — don't swap.
- Hawala** caught by S.3 even with no border-crossing (substance over form).
- FEMA reaches **branches abroad controlled by residents** (by control).
- S.6(3) omitted (Finance Act 2015)**; debt/non-debt split introduced.
- No day-count for companies** — Indian-incorporated = resident auto; foreign branch in India = resident by control.
- Contingent liabilities (guarantees) = capital** even with no cash flow.
- Inbound** (non-resident buying Indian assets) is covered — 2(e) is symmetric.
- Compounding = right to APPLY, not to settle** (may be refused).
- 6(4)/6(5)** protect **legacy** assets (acquired while opposite status / inherited); only **fresh** acquisitions regulated — split by **timing of acquisition**.

18. **LRS is dual-natured** (current + certain capital).
19. Ss.7-8 = "**reasonable steps**" (effort, not guaranteed result).
20. **High Court appeal = question of law only**, within 60 days.

### One-line recall

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- FERA (R = Restriction, criminal) → FEMA (M = Management, civil): the R→M change is the whole philosophy.
- **P&L = current (free, S.5, Central Govt); Balance Sheet = capital (regulated, S.6, RBI)**. Mirror rule.
- Answer spine: **Person → Transaction → Schedule/limit → Channel (AP) → Enforcement**.
- Penalty up to **3×** / ₹2,00,000 / ₹5,000 per day; **compound within 180 days; pay within 90 days** or civil imprisonment (S.14 — for non-payment, not the breach).
- FEMA is **symmetric** (inbound + outbound) and **extra-territorial by control**; hawala caught "in any manner" (S.3).
- **6(4)/6(5)** protect legacy assets; **LRS USD 2,50,000/FY** is the shared current+capital door.